CORPORATE LAW
Lecture notes from recordings

New course programme — September–October 2026

October 2026

These notes reorganise the lecturer's explanations, examples and classroom questions into a continuous study text. They are based on the three supplied recordings only; the corresponding slides were not available. The original language of the lectures is retained. Separate TXT files preserve the full automatic transcription, and timestamped copies allow each passage to be checked against the audio. Unresolved audio or missing-slide details are explicitly indicated rather than completed from the previous course programme.

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1 why business law and legal systems matter

1.1 Purpose of the introduction and comparative perspective

The course is addressed to students with an economic and mathematical background. The lecturer asks students to concentrate on the substance of the explanations and to participate actively. The historical and comparative introduction is intended to make the reasons behind legal institutions intelligible, rather than require a specialist knowledge of legal history.

The initial roadmap connects **civil law and common law** with the basic architecture of the European Union. An English-language degree should provide a perspective beyond a single national system: a legal institution familiar in one country may have a different form or role elsewhere. Notaries are mentioned as an example of an institution whose meaning cannot simply be assumed to be universal; studying notaries is not itself the object of the course.

Canada is used as an introductory example of the encounter between French- and English-influenced legal traditions. The lecturer's point is that recognising different legal cultures helps explain how institutions work across countries. The description in this introductory exchange is broad; it does not supply a detailed account of the allocation of Canadian legal rules.

The EU introduction is necessary because later business-law topics presuppose an understanding of a **directive**, a **regulation** and the **Court of Justice**. For example, discussing a directive on takeovers would be unhelpful if students did not yet know what a directive is. These are therefore foundational concepts to establish before specialised business-law rules.

1.2 The historical puzzle: why does the company not have the same Roman-law foundation?

The lecturer presents a historical question and a personal explanatory hypothesis. Law students frequently hear that the foundations of the subject they study come from Roman law. However, the modern company and much of business law do not have the same direct Roman-law foundation. **Why did similar economic needs not produce the same institutional answer?** The hypothesis is presented as the lecturer's interpretation, rather than as an established historical theorem.

Several areas illustrate the Roman-law inheritance described in class:

- **Family law:** marriage, divorce, the position of women, the status of minors and the question whether a child can negotiate or enter into a contract. The lecturer contrasts aspects of Roman and Greek society to explain why he regards Roman family law as particularly developed.
- **Protection of children:** when parents die, somebody must be responsible for the children; this is mentioned as an early form of the problem addressed by guardianship.
- **Inheritance:** both the distribution of assets when somebody dies without instructions and the possibility of expressing instructions in a will. The lecturer does not claim that every contemporary inheritance rule is identical to a Roman rule.
- **Real estate:** large cities, including Rome, generated developed property arrangements.
- **Public law:** the term *res publica*, understood in the explanation as the common or public affairs, and institutions or offices such as the Senate and the prefect. The country classifications in the brief classroom exchange are not developed into a comparative account of constitutions.

Business law concerns exchanges, commerce and investments. A first explanation might be that contemporary business operates in a much larger and more integrated market. The lecturer tests that explanation against the Roman Empire and rejects several apparently obvious answers.

Proposed explanation	Why the lecturer considers it insufficient
Large common market	The Roman Empire already provided a very large integrated economic area, described as extending across three continents and exceeding the EU in geographical extent.
Common currency	A shared currency is not exclusively a contemporary development; the Romans also had a common currency.
Transport and communication	Modern technology differs, but the relevant comparison must be relative to the period. Roman roads and maritime transport already connected the market effectively.
Common language	Latin was widely used, especially in the West, and Greek provided a shared language in the East.
Shared citizenship	The lecturer refers to the extension of Roman citizenship under Caracalla as part of the Empire's integration. The date stated in the recording is tentative and is not a verified chronological reference.

The Mediterranean is described through the expression *mare nostrum*: although sea travel could be dangerous, it formed a major transport route within the Roman world. "Roman" should not be equated simply with present-day Italians or inhabitants of the city of Rome. The lecturer emphasises the Empire's geographical diversity and the origins of its emperors. He also notes that the eastern part continued to use Greek after the Empire's division.

Trade extended beyond the Empire's formal boundaries: objects produced in the region of present-day Lebanon and found in Ireland are given as an illustration. Thus the absence of commerce, scale, transport, currency or linguistic integration cannot by itself explain the absence of the modern company form.

An EU-related aside distinguishes association with the Union from accession to it. In the lecture, Canada's interest in stronger ties is contrasted with headlines suggesting membership; an association agreement is given as a different legal possibility, with the UK mentioned as a comparison. Morocco's attempt to join is also mentioned to illustrate the lecturer's point about the European scope of accession. These are classroom examples introducing the distinction, rather than a detailed examination of treaty provisions or current applications.

The historical question requires a careful scope. The lecturer observes that "Roman Empire" can refer narrowly to the classical or western experience, whereas the eastern Empire, often called Byzantine, continued much longer. He therefore narrows his hypothesis to the classical period in which the Empire constituted one large integrated area, rather than claiming a single explanation for every period over one or two thousand years.

1.3 Law as a response to social interaction and conflict

The lecturer rejects an image of law as an abstract weight imposed from above simply to burden people. His metaphor is a **bone structure**: the structure is inside the body and helps it stand and develop. A degree of rigidity is necessary; rubber bones would not perform their supporting function. In the same way, legal rules can be rigid because they make organised activity possible. The lecturer distinguishes this supporting function from obstructive bureaucracy or "red tape".

His proposed functional definition starts from society: **more than one person interacts with another**, and interaction creates the possibility of conflicting interests. The role of law is therefore:

1. to prevent interpersonal conflicts where possible;
2. when prevention is impossible, to provide a way to manage them.

For company law, the relevant conflicts include those between investors. The question about Roman business organisation can now be reformulated: if production required several people, why did the Romans not need the same legal response to the conflicts among them?

1.4 The listed-company example: cooperation among many investors

Apple is used as the example of a large listed company with a huge and geographically diverse population of investors. The lecturer describes investors from different continents, time zones and potentially antagonistic political backgrounds. They do not generally know one another, may be unable to meet at the same time, and can have sharply different interests. He explicitly mentions such contrasts as Americans and Iranians, Israelis and Palestinians, and other national groups to illustrate the potential for conflict.

Nevertheless, explanations of a large company's performance usually focus on management, a new product, a war or conditions in the business environment, rather than simply conclude that the diversity of investors makes collective action impossible. The **corporation** supplies an institutional way to organise that cooperation and manage potentially destructive conflict.

The lecturer describes the arrangement as efficient, although its allocation of influence can be harsh: broadly speaking, **the more a person invests, the more relevant that person's position within the company becomes**. This is an introductory observation, not yet a complete treatment of voting classes, control arrangements or exceptions. Having more than one investor is presented as a central ingredient of the modern economy, whose importance will be developed later.

The historical puzzle does not disappear merely because one person can organise production. The lecturer's classroom example is that even a highly talented individual cannot alone supply an enormous market; additional people are necessary. Once several people are involved, potential interpersonal conflict arises again. The next part of the explanation asks whether a particular historical condition changed the way that conflict was handled. The condition introduced at the end of this passage is **slavery**, which the lecturer describes as widespread in the ancient world rather than specifically a Roman invention.

1.5 Slavery and the lecturer's hypothesis about the sole trader

In the lecturer's hypothesis, slavery changed the organisation of production and the relevant conflict between decision-makers. Where one owner could organise labour performed by people legally treated as property, the owner could involve a large number of workers while retaining the decision-making position alone. The legal order did not recognise those workers as independent co-investors with an equal claim to decide. The lecturer refers to slave revolts, including the familiar example of Spartacus, to show that the arrangement did not remove conflict in an ordinary social sense; it changed how the legal and economic system dealt with it.

The point is an explanation of the historical organisation, not an endorsement of it. The lecturer stresses that slavery was practised by different ancient populations and continued in later societies, mentioning nineteenth-century America. Romanticising one ancient population as innocent and another as uniquely responsible would obscure the mechanism under discussion.

Large-scale production still required many people. Production limited to one person's own needs would generate a **subsistence or survival economy**, whereas the Roman market involved an extensive commercial system. Under the hypothesis, however, large numbers of people could be organised without creating a structure through which large numbers of independent investors jointly invested and decided.

Modern **partnerships and companies** answer the question: how can more than one investor be kept together in a shared business? The lecturer argues that the Roman arrangement made it possible to remain closer to the simplest business form, the **sole trader**. "Sole" here means the only investor or proprietor, not a lonely person. A sole trader can have staff; it is not necessarily a business in which only one human being works. The lecturer explicitly calls his description a considerable simplification rather than a complete taxonomy of Roman organisations.

The explanation is not that Romans were unable to conceive an **artificial person**. The *res publica* is given as a public example: it could employ people and had a treasury, the *aerarium*. The argument is instead that the need to use an analogous conceptual structure in private business differed from the need encountered in modern collective investment.

This returns to the course's functional approach: **business law responds to needs**. The lecturer compares the process to his professional work, in which he first listens to clients, identifies their needs and tries to tailor a legal solution to them. Different economic starting conditions generate different legal answers.

1.6 From Roman law to medieval economic conditions

The lecturer moves to the later Middle Ages while warning against treating a millennium as one uniform period. He mentions the conventional dates of 476 for the end of the western Roman Empire, 1453 for the fall of Constantinople, and 1492 for the discovery of America; the development of printing is another marker mentioned for the transition to modern times. These dates are used to indicate broad historical conventions, not to claim that all economic change occurred on a single day.

The lecturer also qualifies the conventional picture of the "barbarian invasions". Referring to the historian Alessandro Barbero, he describes processes in which armies increasingly included people from outside the earlier Roman population and an assimilation process eventually broke down. Not every change was a straightforward invasion; the Lombard experience in Italy is mentioned as closer to that model. The historical aside cautions against a simplified opposition between Romans and outsiders, especially after the broad extension of citizenship.

For the economic argument, the lecture then uses a deliberately simplified **castle or subsistence economy**. Its three basic material needs are:

1. food;
2. shelter;
3. clothing.

A typical peasant in this model cultivated land, kept a few sheep to obtain material for clothing, and repaired a hut or cottage. The land did not necessarily belong to the cultivator; the lecturer mentions ecclesiastical ownership. A person who must produce almost everything for personal survival has little surplus available for exchange. This is contrasted with modern **specialisation**, which greatly increases output.

Business law of the kind studied in this course did not develop under exactly those subsistence conditions. If the economic premises change, the legal structure changes as well. The lecture places a later revival in the period around the twelfth century, while qualifying the popular story that people around the year 1000 universally expected the end of the world. The lecturer connects that simplified picture to later, especially nineteenth-century Romantic, reconstructions of the Middle

Ages. The precise words in this short apocalyptic-belief aside are imperfect in the automatic transcription; the economic distinction between subsistence and specialisation is clear.

1.7 Commercial revival, urban growth and the importance of trust

The lecturer qualifies other familiar historical stereotypes: witch-burning and the Inquisition should not indiscriminately be placed in every period of the Middle Ages. For his economic narrative, a reduction in invasions and insecurity after the year 1000 helped commerce revive. The reference to Saracen incursions is intended to describe extensive territorial effects, rather than only raids on small fishing villages. Provence and a mountain locality in the Val Chisone/Pinerolo area are given as examples; the exact local place-name is uncertain in the audio transcription.

Economic development is not necessarily a smooth continuous curve. The lecturer compares it to the abrupt movements seen in bubbles and crises: several conditions can combine and produce a sudden expansion. He places a first wave of the development of modern business organisation in medieval Italy, contrasting it with a later wave associated with the UK and the Netherlands.

Venice, Genoa and Pisa illustrate the maritime trading expansion; Amalfi is mentioned as an earlier and smaller case, while Florence illustrates an important centre that was not maritime. The phenomenon lasted for centuries and affected the Mediterranean. The lecture connects this economic revival to a broader flowering of culture: Dante and the *Divine Comedy*, Petrarch, Boccaccio, the Sicilian School, Cecco Angiolieri, architecture, painting and Giotto. The point is the concurrence of changes in several areas, not a precise causal proof that one caused every other development.

1.7.1 The cheque example: a legal and financial response to a practical risk

Consider a merchant travelling from Florence to buy wool in England or Scotland. The merchant must pay, but carrying a large amount of gold on a long journey exposes the money to theft. The lecturer uses the deliberately familiar image of Robin Hood in Sherwood Forest to make that risk concrete.

A **system based on trust** makes a different arrangement possible. The merchant deposits **1,000 gold coins** with a bank in Florence and carries a document instead of the coins. If the bank has a branch in London and that branch recognises the document as authentic, it can provide the equivalent amount there. The valuable element is not the paper by itself: it is the reliable recognition of the document and the institutions that honour it.

The lecturer describes this as the basic intuition behind a cheque, while noting that vaguely similar arrangements existed earlier and were perfected in this trading environment. He mentions an Arabic origin for the term and the movement of ideas across cultures; the precise etymological details are not developed reliably enough in the recording to reconstruct them here. Merchants traded wool and cloth but also money. Italian bankers lent to the English Crown, sometimes receiving repayment and sometimes not. The recording's list of banking families is indistinct and is not completed from memory.

Commercial law is the wider category; company law is a part of it. A cheque is an instrument of commerce, not a company. The lecturer nevertheless regards company law as a particularly important component of commercial law. Cheques are described as becoming less common but still relevant. The wider idea is that trusted documents and a network of institutions facilitate transactions without physically moving every valuable asset; a further brief reference to trusted official documents is partly indistinct in the recording.

1.7.2 Why cities, larger markets and specialisation reinforce one another

The instinctive starting form of business is the sole trader: the natural person already exists, so no additional person must be conceptually created. For a sole trader, the same person takes the decisions, receives the profits and bears the losses. This was simple, but renewed markets required resources, time, money, ideas and know-how beyond the capacity of one individual. The lecturer mentions the fairs of Champagne, trade in wool from Scotland, the Netherlands and southern European produce as examples of the widening market.

Urbanisation is part of the same transformation. The lecturer refers to populations moving back to Florence, Genoa and Paris, and gives a very small medieval population for Turin as an illustration. Rome is treated as a qualified exception because of the papal presence. The urban model differs from the subsistence model:

- the resident cannot simply farm enough land, keep sheep and repair a self-built hut;
- land and buildings are more expensive, and space within city walls is limited;
- living costs can rise, but there is a much larger potential market;
- the resident trusts that trading with other people will provide a viable means of survival.

The lecture uses illustrative populations of **100 people** in a castle economy and **10,000 people** in a town to explain the trade-off. A larger market makes specialisation viable: rather than produce everything, a person concentrates on one activity and increases output. The father of Saint Francis of Assisi, described as trading cloth, is used as an example. A shoemaker likewise needs enough customers; a very small local population cannot sustain the same degree of specialisation.

Cause and effect reinforce one another: people move to cities because there are markets, and their concentration expands those markets. Once a person specialises, simply returning to isolated self-production may no longer be viable. Specialisation creates **interdependence**.

This is why the lecturer sees features of economic modernity before conventional historical dates such as the fall of Constantinople, printing or the discovery of America. The distinctive features are already **trust and specialisation**, although today they operate at much greater intensity. Adam Smith's baker illustrates the mechanism: bread need not result from the baker's kindness, because the baker's need to earn money provides an incentive to produce it. The consumer nevertheless depends on that reliable activity.

The lecture extends the trust argument beyond commerce. Ordinary driving presupposes that others do not deliberately try to collide with us. Terrorism attacks that expectation; if every interaction were understood as a possible intentional attempt to destroy us, both society and economic cooperation would be severely affected. Covid is mentioned as a different example in which an interaction could be feared because another person might transmit infection, even unintentionally. These examples explain vulnerability arising from interdependence, rather than add a separate legal regime to the course.

1.8 The partnership as a new centre of interests

Larger markets and the limits of a single investor generated the need for a further structure. The lecturer introduces the **partnership**, associated in Italian terminology with the *società di persone*, as an autonomous centre of interests through which several people can organise a shared activity.

Terminology matters for the examination: the owners of a partnership are **partners**; the owners of a company are referred to in the lecture as **shareholders**. Italian uses *società* and *soci* more broadly, which can conceal this English-language distinction. Do not interchange the two terms merely because the Italian word is the same.

A partnership requires more than one person. The lecturer uses the familiar Cat-and-Fox partnership image from an Italian song to emphasise the intuitive association of at least two participants; the song is not a source of a legal rule. At this introductory point, if there is only one proprietor, the sole trader is presented as the available comparison. Later company forms will add further possibilities.

The conceptual change is substantial. A partnership has its own **name**, **address** and **purpose**, such as producing pens or microphones or selling bottled water. It can be described as a new subject with rights and duties distinct from those of the partners. The lecturer will examine the precise legal position in more detail; this introductory account should not be read as resolving every national distinction concerning legal personality.

The lecturer also illustrates how legal arrangements pervade everyday activity: paying for a coffee or inserting money into a vending machine involves a contractual exchange, and the purchase may involve questions of warranty. Specialised knowledge makes these legal relationships visible in activities that initially appear ordinary.

1.9 Separate assets, creditors and the meaning of liability

The lecturer introduces the consequences of creating a new subject through an example. A partnership buys **1,000 microphones**, intending to sell them to the University of Turin. The university instead buys from a different supplier. The partnership is left with stock that does not meet its immediate need for money, while it still owes the purchase price.

The first subject called on to satisfy the partnership's debt is, in the introductory account, **the partnership itself**. It has assets, may employ staff, can incur debts and has a patrimony. The partnership's assets are the first assets that answer for its debt. The lecturer explicitly postpones the detailed rules and qualifications: the point at this stage is to understand the separate centre of rights, duties and assets, rather than assume a universal enforcement rule for every partnership.

The partnership agreement is signed by the partners, yet it also affects **third parties**, including creditors. If a natural person trades on her own account, the creditor looks to that person's assets. In the partnership illustration, the creditor cannot simply ignore the new subject and immediately treat the partner's individual assets as the assets of the business.

The lecturer's concrete asset example is a partner's villa on Lake Como, contrasted humorously with George Clooney's villa. A creditor may know the partner and know exactly where her valuable house is. Nevertheless, in the simplified partnership example, the creditor must first pursue the partnership and its assets, even if those assets are fewer or harder to identify. The lecturer remarks that home ownership is common in Italy and uses a house as the recurring classroom illustration of personal assets exposed to debt. His reference to constitutional encouragement of home ownership is an aside, not an analysis of a constitutional provision.

Liability is not the same English word as responsibility. The course uses "liable" and "liability" for the legal position concerning debts and claims against assets. "Responsibility" may describe a moral or practical commitment, such as the lecturer's wish to teach well and make an effort for students. Italian terminology can encourage the wrong translation, so this is another important false-friend distinction.

The conceptual point is that the partnership is not visible as a person walking down the street, yet its legal effects are real. There are the two partners, and a further subject through which they act. This subject has a name, a purpose, rights, duties, assets and debts. The lecturer contrasts the limited degree of separation now being introduced for partnerships with the stronger effect he will explain for companies.

Trust in an agreement is not based only on the parties' goodwill. It also depends on **enforcement**. A piece of paper that nobody can enforce remains merely a piece of paper. In the lecturer's historical account, the revival of local and regional powers such as Florence and Venice supplied institutions capable of enforcing transactions, after a period characterised by fragmented authority. He connects this process, at a much later stage, with the development of absolute monarchies and the formula identifying the ruler with the state. The purpose of the historical comparison is to explain why enforceable agreements made the new business forms workable.

1.10 Course materials and the lecturer's advice on taking notes

In response to a question during the break, the lecturer states that there is **no textbook specifically designed for this course**. The repeated joke about writing a book in old age refers to the idea of eventually combining the course programme with fuller explanations accompanying the slides. The lecture explains that academic publishing incentives favour studies and monographs rather than necessarily producing a teaching textbook; the precise subject of the lecturer's own monograph is indistinct in this passage.

Students are encouraged to follow the lectures and develop effective note-taking. The lecturer regards note-taking as a practical professional skill, including in his office. Writing every spoken word while someone is talking can be impractical; students should develop their own abbreviations and process the explanation. This advice about live note-taking does not remove the usefulness of a separate full recording transcription.

1.10.1 Slides, recordings and examination scope

The lecturer explains that the delayed upload of slides is intended to encourage students to follow the explanation and take notes. Slides are bullet-point supports for a lecture: an isolated heading such as "merchant law" may communicate little without the argument that accompanies it. He contrasts the distraction possible on an internet-connected computer with the immediate feedback provided by a blank sheet of paper when a student has not followed the class.

Students unable to attend should not be penalised for legitimate difficulties. The lecturer says that earlier recordings may still be accessible through Moodle, including post-Covid videos showing both the slides and his explanations. He describes better examination results when students had to listen to the lectures rather than merely skim slides immediately before an exam. Those earlier videos are described as approximately five years old; they are not automatically substitutes for this year's programme.

He permits students to record the lecture or ask a friend to record it. A device near the lecturer can produce better audio than one beside a typing student. He asks that recordings remain for the class's use and not be posted online to expose incidental foolish remarks. This is a practical classroom request, not a requirement to publish these materials.

There is **no separate question bank**. The lecturer says the exam concerns **the slides integrated with lecture notes**, without additional surprise material. As an illustration, a possible introductory question would ask for similarities and differences between Roman and modern business law. The answer would connect:

1. the shared economic ingredients—market, currency, languages and transport;
2. the role of law in preventing or managing interpersonal conflict;
3. the specific problem of several investors participating together and the lecturer's slavery hypothesis.

The historical explanation remains a hypothesis rather than a claim to explain every event across a millennium.

The first part of the course supplies foundations: the introduction, partnerships and companies. The second part concerns selected specialist topics. In this roadmap the lecturer mentions MiFID, securitisations, bonds and covered bonds, and possibly innovative start-ups. Some possibilities remain dependent on time and availability. A previous guest from the Bank of Italy had explained Basel criteria, but the lecturer says that person is not currently available, so a repeat appearance is not promised. The recording pronounces some topic names indistinctly; this list records the clearly identifiable intended headings rather than supplying the absent slides.

The lecturer intends to suggest a book whose new edition has appeared in September 2026, but it covers only the first part of the programme. The diversified specialist topics would otherwise require too many separate books. The book's title is not supplied intelligibly here. His practical recommendation is therefore to use the slides together with the explanations and recordings.

For a student who truly cannot obtain a recording, the lecturer discusses using AI to expand a reliable slide source into a longer explanatory account, rather than requesting a two-line synopsis the night before the exam. He emphasises the importance of feeding it a reliable source because otherwise its sources may be dubious. In the present notes, the actual recordings supply the explanations; this classroom suggestion is preserved as study advice, not used as permission to invent missing lecture content.

1.11 The limited partnership: a response to a different investment need

The **limited partnership** is connected with the Italian *società in accomandita semplice*. The lecturer gives the Italian term so that students can recognise an institution they have studied in English when it appears in professional life. His comparison

is with the different names René Descartes and Cartesio: unfamiliar wording should not create the mistaken belief that the underlying subject was never covered.

The historical example is Venice during commercial expansion. Traditional wealth was concentrated in the nobility, particularly through land. Commerce in silk, spices and other goods created new sources of wealth. The lecturer mentions the *Merchant of Venice* to connect the commercial setting with a familiar cultural reference. He distinguishes Venice's substantial Mediterranean and Black Sea trade from imagining Marco Polo's individual journey to China as a straightforward regular Venetian route across all the intervening empires.

Venetian traders used notaries to certify arrangements and make transactions reliable. The lecturer relates an explanation received from a notary during his own studies: institutions can be created to answer one need and later survive because they answer new needs as well.

The nobility wished to participate in profitable commerce but faced a cultural constraint. The lecturer's deliberately simplified formula is that nobles were not supposed to "work" in the commercial or manual sense. This does not mean they had no functions: warfare and lifelong preparation for it, including tournaments, formed part of their status. He also uses Roman attitudes towards acting and medicine to illustrate that each society defines acceptable occupations differently; the point is cultural context, not a full historical account of those professions.

The ordinary partnership did not solve the nobles' particular problem. In the introductory model of a **general partnership**, associated with the Italian *società in nome collettivo* (SNC):

- the partners participate in management;
- the partnership's estate is distinct from their personal assets;
- if the partnership cannot satisfy its debts, creditors can ultimately pursue the partners;
- the partners therefore bear **unlimited liability**.

The previous villa example now receives its qualification: the home is not permanently safe merely because there is a partnership. In the lecturer's simplified account the creditor first looks to the partnership, but if it cannot pay, the partner's personal assets remain at risk. This is better separated than the sole-trader example, yet it is not limited liability.

Management and liability are presented as two sides of the same arrangement. A person able to influence business decisions should answer for their consequences. This form is naturally suited to a relatively **small group of investors**, such as three or four. It could not function in the same way if the lecturer's illustrative fifty million investors in a listed company all had to be managers.

In the historical narrative, notaries and other knowledgeable interpreters had considerable room to devise answers where state legislation was less extensive. The lecturer contrasts that setting with a modern codified system in which he can interpret or adapt arrangements but cannot freely invent a new statutory kind of company. He presents the precise historical inventor as unknown, rather than giving a fabricated attribution.

The innovation is to alter the ordinary partnership model by creating **two categories of partner**. The **general partner** retains the familiar managerial role and unlimited liability. The second category, introduced at the end of the passage as the **silent partner**, supplies a different way of participating; the following discussion explains its connection with limited liability.

1.11.1 Silent partners, limited liability and the protected personal estate

"Silent" concerns **management**, not whether the partner talks socially. In the model introduced, the silent partner does not manage the business. The earlier relationship between managerial power and unlimited liability is modified: if the participant is excluded from management, that participant can instead have **limited liability**. The lecturer uses this separation to explain how a noble could invest without engaging personally in commerce.

Introductory model	General partner	Silent partner
Management	Participates in management	Does not manage
Liability	Unlimited; personal assets can ultimately answer for partnership debt	Limited to the investment in the classroom model
Economic role	Investor involved in running the business	Investor supplying capital without the managerial role

Suppose a noble invests **1,000 gold coins**, or equivalently **1,000 euros** in the modernised example. If the activity goes badly, the maximum loss described for that silent investor is the investment. The home remains outside the creditor's reach merely for that partnership debt. Contrast the general partner: the creditor first asks the partnership to pay, but if it cannot, the general partner's personal estate can be pursued.

The lecture makes the creditor's position vivid. A supplier provides goods—illustrated by **1,000 horses**—and has not been paid, while the investor continues to enjoy a wealthy lifestyle. Trade commonly involves delayed payment: the lecturer gives **60 days** as an illustrative commercial term, allowing the purchaser time to sell goods before paying the supplier. If the investor were a general partner, the supplier could ultimately pursue personal assets. If the investor is a silent partner

within the limited-liability arrangement, the supplier cannot do so merely because the investor is wealthy or enjoys the proceeds of other assets.

The example is made deliberately extreme: even if the silent investor has **99%** of the partnership interest, the structure still involves more than one partner, and the creditor cannot simply disregard the legal arrangement and treat the home as the business's asset. The lecturer is describing the ordinary consequences of the model at this introductory stage, not examining misuse, breaches of the non-management rule or every statutory exception.

This is another illustration of the practical force of a legal document. It can protect an investor's personal estate even when the investor is physically identifiable and plainly connected with the enterprise. The lecturer connects the effectiveness of that arrangement with the growing ability of public institutions to enforce it. Trust means that others respect the structure because the legal order gives it effect, not merely because they personally approve of the investor.

The original social reason need not remain for the form to survive. Present-day investors do not ordinarily need to satisfy the medieval nobility's restrictions, but may still want to invest a specified amount **without risking more**. The lecturer reports that a substantial share of the partnerships requested in his own professional experience are limited partnerships, revising his informal numerical estimate as he speaks. This is an anecdote about the form's continued vitality, not a verified market statistic.

Specialisation also applies to the investor. One person specialises in making shoes; another specialises in supplying and allocating the productive factor **money**. The lecturer sees specialisation and limited liability as seeds of modernity already developing before the conventional historical boundary dates. The framework channels capital from people who need not personally operate every funded activity.

The Harry Potter invisibility-cloak analogy illustrates the distinction between physical presence and legal exposure: the investor is there, but the legal arrangement places the personal home beyond the ordinary claim for the business debt. The analogy does not mean the debt or its loss disappears. **A loss must still be borne by somebody.** Protecting the investor can leave the creditor exposed instead. A creditor dealing with a limited-liability structure is therefore accepting a different allocation of risk. The next part of the lecture makes that allocation explicit.

1.12 Diversification and the allocation of risk

Liability cannot be understood by looking only at the debtor's protection. If a debt is unpaid, the loss remains. The lecturer compares this need to consider both sides with discussions of public spending that omit the question of how it is financed: an apparent benefit has a corresponding exposure elsewhere.

A creditor can identify the legal structure **before** entering into the transaction and adapt the risk taken. Investors diversify among different companies; creditors can similarly avoid selling all their output to one business. The lecturer's example is a supplier with **50 customers**, so that one customer's failure need not determine the supplier's entire outcome. His intentionally fanciful successful-business example—selling ice cream at the North Pole—illustrates how receipts from successful customers can offset losses on unsuccessful ones; it is not a claim that diversification guarantees full recovery.

The lecturer's summary of the first wave brings together cheques, trust, notaries, partnerships, artificial subjects, limited partnerships, investment, specialisation and urbanisation. He argues that these features make the late-medieval commercial world markedly different from the simplified castle economy, even when both fall within the same conventional historical label.

1.13 The second wave: companies and the scale of collective investment

The lecture moves forward to a second wave associated with northern Europe and colonial expansion, referring broadly to the seventeenth and eighteenth centuries. The historical narrative is again used to identify **new economic needs and new legal answers**. The lecturer cautions that people at the time often regarded colonisation as obvious, while present-day moral assessment is different; his comparison with possible future judgements of contemporary pollution is intended to make historical context visible, not justify colonial practices.

The English/British, Dutch and French examples replace the earlier Italian focus. Italy's political division and the position of earlier Venetian and Genoese networks are mentioned as part of the background. In a personal aside about a recent congress in Cyprus, the lecturer mentions Venetian rule ending there in **1571** and the later loss of other possessions, including Crete. Other geographical names in the aside are indistinct or tentative and do not form the legal argument.

The need is larger-scale investment. The East India company example is used to imagine infrastructure on the scale of a railway from Delhi to Calcutta. The lecturer gives **3,000 km** as an approximate illustrative distance, not a measured statement of that route. Such a project requires money, iron, engineers, machinery and shipping to move resources from Europe. A higher desired output requires a much larger input.

Neither a wealthy sole trader nor a partnership of two or three people can be assumed to supply all those resources. A form is needed that can combine **more investors and more resources**, while managing the correspondingly greater potential for conflict.

The partnership model has limitations for this scale:

- giving every partner a managerial role becomes impractical with a very large investor population;
- exposure to unlimited personal liability can discourage participation;
- amendments to the partnership agreement are introduced as requiring **unanimity**, which does not scale easily.

The lecturer demonstrates the unanimity problem with a class of approximately **40 students**. Even agreement on exam arrangements would be difficult because of differences about written versus oral examinations, multiple-choice questions and times of day. Agreement is more plausible in a small group; the partnership can therefore be efficient for its intended need without being efficient for every need. The phrasing concerning unlimited liability is imperfect in the recording, but it is introduced as an additional aspect of this comparison.

1.13.1 Making limited-liability investment the general model

The earlier limited partnership contained a category of non-managing, limited-liability investor. The new conceptual step is to make what had been an exception into the **ordinary investor position**: shareholders can invest without automatically managing the company or exposing their personal homes to its ordinary debts. In the classroom model, the worst economic outcome for the investor is loss of the investment. This does not remove the company's own debt or the creditor's corresponding risk.

The lecturer calls these forms **companies** or **corporations**. Initially, an East India company could be incorporated through a **royal decree**: formation depended on a grant from the state rather than on a general right available to anyone. The state wanted to supervise a new arrangement with significant consequences. The lecturer contrasts that historical permission with the contemporary possibility of forming a company by following the applicable legal procedure, rather than obtaining the same individual royal concession.

Limited liability also requires counterbalances. The lecturer introduces, as examples to be developed later:

- compulsory rules on financial statements;
- auditors;
- minimum share capital.

These mechanisms are linked to protecting those who deal with a company when shareholders are not ordinarily personally answerable for its debts. Their detailed application is not yet specified in this introductory passage.

1.14 Transaction costs, voting rules and the connection between control and risk

The lecturer returns to the corporation as a powerful way to prevent or manage conflict among many diverse investors. He introduces the **economic analysis of law** and an intuitive argument associated in the lecture with Coase: less energy spent negotiating and arguing leaves more energy available for productive activity.

Transaction costs are introduced here as the costs of reaching an agreement. The lecturer's formulation connects lowering those costs with greater productive output. This is an introductory economic intuition, not a complete formal statement of all assumptions or conclusions of the Coase theorem.

A legal structure can help business by supplying clear organisational rules. The earlier bone-structure analogy becomes a supporting shoulder: the legal framework provides stability on which the participants can rely while carrying out the productive activity. Even a rule that appears harsh may reduce the costs of constantly renegotiating the same matter if its consequences are clear.

The starting company-law rule described is **investment-proportionate voting**: **10% of the capital corresponds to 10% of the votes**, and a holder of **80%** would have 80% of the votes in that basic model. The lecturer notes that this is a starting rule, not an unavoidable feature of every arrangement. **Multiple voting** can depart from it: his example is a person with **10% of the capital voting as if holding 30%**. That is introduced as a possibility to study, not a necessity.

The distinction between partnerships and companies now links three elements:

Element	Partnership model in this introduction	Company model in this introduction
Management	Partners participate in management	Buying a share does not automatically make the investor the CEO
Exposure	Personal estate can ultimately be exposed through unlimited liability	Shareholder's ordinary investment exposure is limited
Changing the rules	Unanimity is the default comparison for changes to the partnership agreement	Majority voting allows collective decisions without every investor's consent

The lecturer specifically distinguishes **changing the partnership agreement** from ordinary day-to-day management: the unanimity discussion concerns the former. If a partner risks personal assets, it is understandable to give that partner a veto over changes to the rules of the arrangement. When an investor does not automatically manage and does not risk the whole personal estate, a majority mechanism becomes more workable. He describes altering one element as having a domino effect on the others.

The lecturer does not claim that every combination is legally impossible. He acknowledges that departures can be devised, but treats unlimited liability combined with majority rule as a risky departure from the introductory default, rather than the standard model being explained.

1.15 Stock markets: extending investment beyond wealthy participants

A company can combine the resources of hundreds of wealthy investors. **Stock markets** make another expansion possible: drawing relatively small voluntary investments from **millions of people**. Individual participants may not be wealthy, but their number supplies a very large aggregate input and permits a scale of output that the smaller investor group could not support.

The lecturer relates this broad participation to the growing social significance of the masses. He refers to the French Revolution, movements involving workers, socialists and communists, and Dickens's depiction of society. His interpretation is that literary, political and economic phenomena reveal related changes, rather than exist in entirely isolated histories. He says stock markets began earlier but expanded strongly in the nineteenth century; the discussion is not a precise chronology of the first exchange.

The same innovation creates a new problem: **many more people are exposed if things fail**. The law is therefore described as a balancing process, not a final answer that eliminates every difficulty. A legal solution can create fresh risks that call for another solution. The lecturer compares the movement between regulation and deregulation to a pendulum: apparent success can encourage deregulation, problems can lead to renewed regulation, and the process may repeat.

1.15.1 The tulip-bubble illustration

The lecturer uses the Dutch tulip episode to illustrate how an attractive new investment mechanism can become speculative. He compares the influence of fashion to that of a modern influencer: flowers are bought not simply as a gift but as an investment, because people expect further gains.

In his simplified narrative, people buy tradeable paper claims linked to tulip production, described in class as shares. When there are not enough tulips, claims come to refer to the next year's harvest and then to even later production. The important distinction is between giving **money now** and receiving a **claim or expectation about the future**. A perishable flower makes the contrast especially vivid. A brief Italian classroom exchange about the flower in *The Little Prince* supplies the adjective *effimero*: the flower lasts only a short time. A targeted Italian-language retry recovered this exchange after the initial English ASR produced a spurious repeated sequence.

As expectations expand beyond the product available, a demand to recover money can trigger further demands and a collapse. The lecturer mentions people being ruined and severe social consequences; his historical anecdote is not a verified account of individual events or a technical classification of the instruments traded. The legal point is that the risk now extends beyond a single debtor and creditor to a much larger population.

The lecture connects this scale of exposure to the state's later involvement in regulating the economy, continuing through the twentieth century. A later-event name in this passage is indistinct in the transcription and is not supplied from the previous programme. Regulation is presented as a response to risks created by the very arrangements that had enabled growth.

1.16 Globalisation and the direction of business-law development

The final historical step mentioned is **globalisation**: the world becomes a potential market, needs become even larger and legal answers must adapt. The response introduced is **harmonisation**, with business-law systems converging sufficiently to support cross-border activity. This is identified as the subject to continue in the next lecture.

The lecturer qualifies the idea of uninterrupted globalisation. He contrasts the pre-Covid period with more recent developments and suggests movement towards regional or continental blocks, mentioning Russia, the European Union, the United States and China. The observation belongs to this lecture's contemporary framing; it is not a separate current-affairs assessment. Global activity persists, while its extent and form can change.

Recording boundary and remaining uncertainties

The recording ends with indistinct end-of-class sound after the substantive lecture has closed. A targeted retry did not recover reliable speech from that tail: the TXT explicitly marks the interval as unintelligible, and the raw recogniser results remain in the working archive. These notes do not invent further teaching content from it. Other flagged details are the tentative Caracalla date, the exact local place-name in the Saracen example, and indistinct banking-family and monograph references. The Italian flower exchange was recovered. These uncertainties concern specific passages; they do not justify omitting the surrounding argument.

2 legal change, global markets and comparative legal systems

2.1 Recap: legal structures, social needs and abstract representations of wealth

The lecture opens by returning to the distinction between natural and artificial persons. The earlier historical puzzle is not that people could never conceive an artificial subject: public institutions already supplied such an idea. The lecturer again links the development of private business forms to the need to organise several people and handle interpersonal conflict.

The recap repeats the comparison between the sole trader, general partnership and limited partnership. A sole trader decides, receives profits and bears losses. A partnership is more than simply two sole traders side by side: it supplies a further subject with an estate, debts and claims. In the introductory general-partnership model, creditors first look to that estate and can ultimately reach the partners' personal assets if it is insufficient. The limited partnership then changes the position of the silent investor, who does not manage and whose ordinary exposure is the investment. These mechanisms and their examples are developed in the preceding lecture's sections; the repetition is retained in full in the TXT rather than duplicated word for word in the study text.

The historical recap adds **Charlemagne** as a qualification to an overly simple account of the period after Rome. An empire covering substantial parts of western Europe did reappear, but the lecturer describes that experience as too short and affected by wars and subsequent division to reproduce the same economic development. The precise dynastic details in this brief account are not clearly transcribed; the intended distinction is between a short-lived political reorganisation and the later sustained commercial revival.

A further emphasis is **wealth represented by an abstract and trusted instrument**, rather than physically carrying metal or transferring a house. The cheque example illustrates how possessing a trusted piece of paper can establish a claim to wealth. Moving from paper to electronic records continues the same underlying idea. The lecturer makes a brief connection with cryptocurrencies and with monetary arrangements and the detachment of currency from gold convertibility. The historical reference appears to concern Bretton Woods, but the dates and wording are indistinct; no exact monetary chronology is inferred from this passage.

The limited-liability arrangement similarly shows that a document can protect personal assets from a creditor who never signed the document. That effect needs an enforcing legal order. The lecturer again connects the growth of trust, an organised state, specialised investors and the late-medieval cities of Florence, Venice and Genoa. Although the conventional period is still called the Middle Ages, this society is described as markedly different from the castle economy.

The recurring principle is **law as an answer to social needs**: social activity changes, and the legal arrangements that support it develop accordingly. The following part resumes the later expansion of scale through companies and colonial commerce.

2.2 Choosing a business form: three buildings for three needs

The recap of colonial investment repeats the large infrastructure example and the inability of a small partnership to meet every resource need. The three linked changes are again emphasised: buying shares does not make every shareholder a manager; the ordinary shareholder's exposure is limited; and decisions about the company's rules can be taken through majority voting rather than a veto for every investor. The corresponding first-lecture explanation distinguishes those changes from day-to-day management and discusses the relationship between influence and risk.

To explain **choice of organisational form**, the lecturer develops a construction metaphor. Asking for "a construction" is incomplete: the appropriate solution depends on what the construction must do. No form is universally best merely because it is more elaborate.

2.2.1 A temporary beach shelter: the sole trader

A person on a hot beach near Los Angeles needs shade for a few hours. Branches and leaves can provide a shelter quickly and at little cost. That structure efficiently answers the particular need, although a strong wind or storm could destroy it.

The comparison is the sole trader. The natural person already exists and starts doing business—the lecturer gives buying something for **€1** and selling it for **€1.20** as a simple trading example. There is no need to invent a separate artificial subject. Opening a VAT position is mentioned as an illustration of setting up professional trading, rather than a complete checklist for every activity or jurisdiction.

The advantages in this comparison are simplicity, speed and low organisational cost. The trade-off is **unlimited personal exposure**: the structure does not supply the same shelter for the proprietor's assets if the business runs into trouble. It is efficient when it answers the actual need; a lower level of protection does not automatically make it an inappropriate choice.

2.2.2 A cottage in Maine: the partnership

A person who needs a cottage in a colder region must obtain foundations, bricks or wood and help from other people. Construction costs and time rise, but the building protects against ordinary bad weather and cold more effectively than the beach shelter.

A partnership is similarly more structured. It takes more effort to establish but permits more than one investor and supplies a distinct business estate. In the general-partnership model being compared, that separation is **partial protection**, not permanent immunity: the partnership's inability to pay can ultimately expose the partners' personal assets. Again, "more structured" means better suited to some needs, not necessarily better in every case.

2.2.3 Headquarters on Fifth Avenue: the company

The third example is an entrepreneur whose successful new hair-growth product creates a much larger business. The need is no longer a temporary shelter or a small home but substantial headquarters on New York's Fifth Avenue. Architects, engineers and safety specialists are required, and actually constructing the building takes substantial resources.

The costs continue **after** construction. Cleaning windows on the **thirtieth floor**, for example, may require specialised workers and equipment. This separates the **cost of creation** from the **cost of maintenance**.

The company is used as the analogous organisational form. It is more expensive and complex to create and may have continuing governance and compliance costs. The lecturer mentions **auditors** and compulsory rules for **financial statements** as examples. In the introductory comparison he does not impose the same company-style mechanisms on the sole trader or general partnership. Exact national thresholds or exceptions are not specified in this passage.

The economic explanation is again a balance. Where individuals are exposed without a limit, they have a direct incentive to avoid risks that could destroy their own estate. Limited liability changes that incentive and the creditor's exposure, so the legal structure introduces additional controls. Those controls are the equivalent of maintenance requirements for the more elaborate building.

Comparison	Sole trader	Partnership	Company
Building metaphor	Temporary beach shelter	Cottage	Substantial headquarters
Organisation	Simplest natural-person form	Several participants and a distinct estate	Structure suited to larger collective investment
Relative cost	Low initial organisational cost	Higher establishment cost	Higher formation and continuing governance costs
Protection in the teaching model	Personal estate directly exposed	Separate estate, but general partners remain ultimately exposed	Ordinary shareholder exposure limited to investment
Choice criterion	Suitable for the need	Suitable for the need	Suitable for the need

2.3 Changing needs and transformation

The lecturer compares organisational forms to a ladder that can be climbed or descended when the activity's needs change. A clothing metaphor makes the point: the same person wears a T-shirt in summer, a light jacket in autumn and a heavy coat in winter, then returns to lighter clothing in spring.

Likewise, the lecturer illustrates an activity moving from a sole trader to a general partnership, then to a limited partnership and a company, or moving in the reverse direction towards a lighter structure. He calls the process **transformation** and says both more sophisticated and simpler arrangements appear in his professional work. The explanation concerns adapting the business form; it does not yet give technical procedures or guarantee identical legal continuity for every transition in the illustration.

Greater complexity can bring greater protection and better equipment for handling many investors, but also higher formation and maintenance costs. The large listed-company example is repeated to show that investors from conflicting national backgrounds can coexist under an effective framework. The lecturer qualifies this: corporate conflict can still become difficult when a few shareholder blocks are locked in dispute. The specific family-business example mentioned at this point is indistinct and is not reconstructed from outside sources.

The historical recap again contrasts royal authorisation of early companies with formation under a general contemporary legal framework. Limited liability is explained as a departure from the basic debtor rule that debts can be answered from the debtor's estate. Formation is therefore not described as a right without conditions. The lecturer mentions minimum capital, financial-statement rules and auditors as counterbalances. His numerical illustration invokes **€1** and a PLC; the exact Italian company form pronounced beside that example is unclear. The passage should not be used as a complete statement of current capital rules for every type of company.

2.4 Mass participation and the expansion of the stock market

The lecturer reconnects economic development with the growing significance of the masses, repeating the comparison with the French Revolution. The military example concerns access to officer positions and promotion for ordinary soldiers, contrasted with earlier dominance by nobles. Some fractions and details are indistinct in the recording, so they are not converted into a precise historical statistic. The substantive point is that wider social participation had political, military and economic manifestations, including the ability to invest.

Marx and Engels, communist and socialist thought, and the growing political relevance of working people are additional manifestations mentioned in the lecture. The stock exchange expresses an economic aspect of wider participation. The lecturer tentatively refers to an early Amsterdam exchange and distinguishes its beginnings from the greater momentum of exchanges in the nineteenth century.

An etymological aside links the Italian *borsa* and French *bourse* to a family whose house served as a place for trading, rather than simply to a purse containing money. The family name is imperfectly pronounced or recognised in the recording, so it is not supplied as a verified spelling. The English term used for the institution is **stock exchange**.

The economic mechanism repeats the first lecture's argument: even a non-listed company combining a few thousand wealthy investors reaches a limit. Asking a **small amount from many people** expands the available input. The corollary is that everybody's savings can become exposed. A sole trader's failure directly affects that trader and the relevant creditors; widespread speculative investment can produce a much wider social problem.

The tulip illustration is repeated with the contrast between durable assets and a perishable flower. The lecture describes paper claims extending far into future harvests—including an illustrative **ten-year** horizon—and a collapse when holders try to cash in. Lost trust has a domino effect, and the lecturer mentions severe personal and governmental consequences as part of the story. The narrative is used to explain the need to regulate a system involving the nation's savings; it is not converted here into a precise historical account of every instrument or event.

The phrase *laissez-faire, laissez-passer* introduces the opposite approach: letting economic activity operate without the same degree of intervention. The lecturer contrasts that approach with the later tendency towards stronger regulation as financial risks and exploitation of the masses became visible. A brief Sun King reference has an unclear chronology in the audio; the conceptual contrast between regulation and deregulation does not depend on that date.

2.5 Globalisation and the convergence of business law

Although law can begin as a local phenomenon, commerce often crosses boundaries. Business law has therefore tended towards broader similarity more than some areas tied closely to national social traditions. The lecturer compares the relative similarity of Italian and French corporate law with greater variation in family and inheritance law.

Lower trade barriers and developments in air travel and shipping increase the need for **converging business-law arrangements**. A transaction becomes harder if the participating legal systems supply entirely incompatible structures. The lecturer uses English business-contract names retained in Italian as visible signs of that influence: **leasing**, **franchising** and **factoring**. He describes practices being imported from the Anglo-Saxon business world and used before some of them received specific legislative regulation. "No specific regulation yet" in this historical comparison should not be read as "no legal rules could ever apply to the contract".

2.5.1 Multiple voting and the interests of different investors

The lecture illustrates convergence through **multiple-voting shares**. A shareholder may have **10% of the capital** but **20% of the votes**, departing from the basic proportional rule. The earlier lecture used a different illustrative voting proportion; neither number is presented as the only permissible design.

The economic concern is retaining influence while raising money. The lecturer uses high-profile US entrepreneurs, including Elon Musk, as illustrations of an investor who might place **90% of the capital** on the market while retaining only **10%**. Without a special voting arrangement, the retained economic stake could mean a correspondingly smaller influence. Enhanced voting rights can allow the holder to obtain more influence than the capital percentage alone would give. This is the classroom mechanism, not a verified account of the exact share structure of a named contemporary company.

The effect is relational: increasing one holder's voting weight decreases the **relative** weight of others. A small investor with, for example, **0.00001%** may nevertheless be more interested in purchasing at a low price and later selling at a higher price than in exercising meaningful managerial influence. The precise resale amount is indistinct in the audio. In that setting, shareholders may approve the voting arrangement through the general meeting because their interests differ from the controlling investor's interests.

2.5.2 Loyalty shares and uneven convergence across legal subjects

The lecturer also introduces **loyalty shares**: an enhanced position is associated with keeping shares for a longer period. This can favour investors who remain with the company, including a stable family shareholder. A Fiat-related relocation example is mentioned alongside tax motivations and later Italian adoption of a comparable mechanism. The destination,

family-name wording and precise sequence are not clear enough in the recording to reconstruct the transaction as a verified corporate history.

The contrast with inheritance law makes the convergence argument more precise. The lecture mentions Italian **forced heirship**, or "necessary heirs", to illustrate limits on leaving an entire estate to a chosen beneficiary where protected family members are present. Other systems may make different choices. Such differences do not prevent societies from coexisting, whereas cross-border business more directly needs compatible commercial arrangements. The lecture is comparing the strength of the harmonising pressure; it does not provide a complete account of the protected shares or beneficiaries in each legal system.

2.6 Regulatory competition: a race to the top or to the bottom?

Minimum share capital is another example of changing business-law arrangements. The lecturer describes an Italian private limited-company comparison in which the earlier figure was **€10,000** and a later possibility involves **€1**. The precise form and conditions must be distinguished when studied in detail; the introductory comparison should not be applied indiscriminately to a PLC or every limited-liability entity. The American LLC is mentioned as a terminology comparison, not a claim that the forms are legally identical.

The deeper question comes from the **economic analysis of law**: does competition between legal systems produce a **race to the top**, improving efficiency, or a **race to the bottom**, removing valuable protections? The lecturer describes his initial surprise during studies at the London School of Economics, where analysis focused on questions of this kind rather than only on learning the content of a statute.

The metaphor is a boat accelerating in a river. Acceleration alone does not tell us whether the boat is reaching a desirable destination sooner or heading towards **Niagara Falls**. Similarly, simpler or more attractive rules are not automatically beneficial merely because businesses choose them.

The lecturer does not claim to have a conclusive answer. As a notary, he describes himself as preserving some values and suggests that minimum capital may serve a more useful function than critics assume. He gives **Delaware** as a further academic question: are its attractive company-law arrangements chosen because they improve efficiency, or because managers benefit at shareholders' expense? Both interpretations are posed for examination rather than resolved here.

2.7 The European Union as guided economic convergence

The lecturer describes the EU as a **gentle, coordinated and governed form of globalisation**. He connects its beginnings in coal and steel cooperation and the European Economic Community with **economic integration**. The convergence of member states' laws is therefore directly related to business.

Directives are introduced as rules that help bring national arrangements closer together. Unlike a global process shaped partly by uncoordinated market forces, EU convergence is guided through institutions, member states and political representation. The lecturer recognises the criticism that the process can be slow and bureaucratic, but regards the attempt to govern integration as significant.

The comparison also includes a degree of shared cultural and historical background among member states, despite their differences and long history of conflict. This is presented as a reason why European convergence can have a different character from worldwide integration, not as a claim that every European country is culturally identical.

2.8 Introducing the two major legal families

For an initial global perspective, the lecturer introduces two very large families: **civil law** and **common law**. The classification is deliberately simplified and allows substantial differences and mixed arrangements within and between systems. Their worldwide spread is connected with colonial history; the lecturer does not describe that spread as an unqualified historical achievement.

Family	Origin used in the lecture	Illustrations of wider influence
Civil law	Continental Europe: France, Italy, Germany, Spain	Much of South America and parts of Africa and Asia through historical influence and colonisation
Common law	England; the lecturer distinguishes that starting point from treating every part of the UK identically	The United States, India, Australia and parts of Africa and other former British-influenced territories

The practical purpose is business understanding. A subject with a tendency to cross borders cannot be understood only through local terminology. Knowing how the principal legal traditions organise authority and legal change makes it easier to understand transactions and institutions elsewhere.

2.9 Civil law and the historical idea of a state above society

The lecturer recommends a learning method: begin with a **deliberately sharp contrast**, obtain a clear picture, then introduce the qualifications. Civil law and common law are initially drawn as opposites, although he explicitly says the actual differences are less absolute. This methodological warning matters throughout the comparison.

For the continental examples—Italy, France, Germany and Spain—the first organising idea is the **importance of the state**. The lecturer uses the French absolute monarch and the traditional formula "I am the state" to illustrate the concentration of authority. The relevant point is not that dictatorship is desirable, but that a strong **central state** replaced fragmented centres of authority.

The metaphor is a pyramid with the monarch at its apex. In the account, the monarch runs the country and chooses ministers, can intervene above courts, and issues laws. The three functions subsequently distinguished as executive, judicial and legislative powers are gathered at the same centre. Paris, the royal palace and court rituals illustrate how centrality was represented symbolically as well as institutionally.

This is linked to the earlier development of enforceable commercial documents in Venice and Florence: an effective public structure supplies authority on which private people can rely. The lecturer contrasts the later centralised state with the simplified medieval picture of each castle as a separate island of power.

The modern democratic development changes the purpose and limitations of authority. A Latin saying is introduced with the sense that **we serve the law so that we may be free**. Its exact Latin wording is not reliably transcribed, so the meaning is retained without pretending to reproduce a verified quotation. The state is supposed to support freedom, welfare, citizenship and education, rather than exist solely as the monarch's instrument.

The lecturer's broad functional question is: **how can institutions provide for people's happiness?** He mentions internal and external peace, social peace and help for able people whose poverty would otherwise limit their opportunities. These are the purposes he associates with state organisation. Democratic limitations do not remove the underlying concept of a public authority that stands above individual interests; reversions to dictatorship can occur within a society whose idea of state authority remains strong.

An observation about language illustrates the cultural contrast. The Italian *Stato* is commonly written with a capital in this institutional sense, while ordinary English "state" often appears in lower case. The lecturer qualifies the comparison by noting capitalisation in EU institutional expressions such as Member States. The spelling observation is used as an illustration of different attitudes, not a universal rule that every English text must follow the same capitalisation.

2.9.1 Revolution and continuity in the idea of public authority

The French Revolution brought major social changes, including those described in the army and the position of broader groups. Nevertheless, the lecturer argues that it did not abolish the underlying idea of a state above society. His deliberately paradoxical example is that monarchy was overthrown and Napoleon later became emperor. The point is continuity of the **conception of state authority** despite large changes in who exercised power and how society was organised.

The lecture then contrasts this with an earlier English revolution in which a king also lost his head. That comparison anticipates the different historical position of public authority in the common-law explanation; it does not yet supply a complete comparative chronology of revolutions.

2.10 Written law, formalities and the role of notaries

In the lecturer's simplified account, the continental idea of public authority has consequences for how law is produced and applied. There are more **written laws**, **written codes**, **written documents** and **formalities**. The state issues rules and uses documents to verify that arrangements conform to them.

The historical emergence of notaries is connected with that development. Even a powerful municipality can provide the relevant authority. Florence and a Piedmontese commercial centre are mentioned; the latter appears to be Asti, but the exact wording is imperfect. A notary applies the law to documents and, in the earlier historical narrative, could also help devise a new arrangement such as the limited partnership.

The **seal of the state** expresses that public function. "Seal" here means *sigillo*, not the animal: the lecturer emphasises this translation to avoid a false association. The public authority behind an authenticated document links back to the earlier trust argument.

2.10.1 The state emblem and the lecturer's interpretation of public purpose

A cultural aside concerns the Italian state emblem. The lecturer discusses a **star**, surrounding branches and a **mechanical wheel**, relating them to renewed confidence, cultural achievement, industry and work. His reference to the branches as laurel is not a verified botanical identification; the passage gives his symbolic interpretation rather than a precise official description of every component.

The historical setting invoked is the aftermath of the war: destruction, civil conflict, the king's flight south and occupation

of the north. A new republican symbol replaces the earlier association with the House of Savoy. The lecturer contrasts a star that invites people to look upwards and regain hope with an eagle's association with strength, using the US symbol and the Roman reference as comparisons without suggesting that every eagle symbol is inherently bad.

The argument is about public identity and aspirations. People looking down for food or feeling the shame of dictatorship and defeat need a picture of rebuilding and a viable future. The wheel represents the role of working people and industry. The lecturer connects this with **Article 1** and its description of Italy as a democratic republic founded on work. He distinguishes the ideal a society chooses from the question whether it always lives up to that ideal. The emblem on the state seal and official documents makes those institutional associations visible.

2.10.2 Teaching transcripts and why a formality can be supportive

The lecturer says he may upload transcripts from recordings to make study easier, while warning that a transcript is not automatically a finished textbook. Jokes and spoken explanations may read differently on paper, and fully polishing all transcripts would be a much larger undertaking. The appropriate use is to identify and underline relevant material while understanding its origin in a spoken lecture.

He also explains why a few lines were added to the original slides: students had interpreted the notary as evidence that the state was merely intruding into private contracts. His intended message was the opposite: an institution checks that a contract can **work properly**. A rule or formality can support the transaction rather than exist only to control it. This anticipates the following comparison with less formally regulated contractual arrangements.

2.11 Private autonomy and Article 1372: the state supports the agreement

The lecturer identifies **Article 1372 of the Italian Civil Code** and its idea that a contract has the force of law between the parties. The article number is mentioned for orientation, not presented as a demand to memorise every citation. The lecture's emphasis is both legal and political: private people can agree on rules that the public legal order recognises as binding between them.

This is **private autonomy within legal limits**. Parties cannot simply override every rule of the legal system, but within the permitted boundaries they decide the arrangement. The lecturer associates this conception with the Napoleonic code tradition and the rise of broader participation in economic and public life.

The consequence is more than governmental indifference. The state does not merely say "do whatever you want and I do not care". It supplies judges who will **uphold a lawful agreement**. The judge does not replace the agreed arrangement simply because another bargain might have been preferable. This connects the state's authority with the parties' freedom, rather than treating the two as necessarily opposed.

The bone-structure metaphor is used again: some rigidity makes a stable and effective activity possible. State recognition lets private citizens make their own rules binding between them. The notary's contribution is to help draft an arrangement that is lawful and achieves the result the parties actually want—the arrangement they would have chosen had they understood the legal framework better. The political or business choice is not the notary's own decision.

This explanation does not say every contract must be notarial. The lecturer discusses lawful contracts generally and then the additional assurance associated with a document already checked through the notarial public function. The presence of a seal is presented as support for the parties' decision, rather than merely evidence that the government substitutes its will for theirs.

2.12 The English historical contrast: limiting royal power

The lecturer now returns to the deliberately simplified contrast with common law. A different history of the state produces a different legal framework. The narrative concerns the relationship between the English crown, nobles and French territories and claims, including the Norman connection across the Channel.

The king required money and military support, which could mean the nobles' lives as well as their resources. The nobles' resistance is not portrayed as a purely idealistic defence of peasants: the lecturer stresses **self-interest and bargaining**. Some might have expected an absent or foreign ruler to interfere less with their own power. A less consolidated central state gave other participants room to press for conditions.

The key document introduced is **Magna Carta**, with its familiar date **1215**. The date is misrecognised as "2015" by ASR in one passage; the intended historical reference is clear from the lecture's surrounding discussion of events roughly eight centuries ago. The lecturer also mentions a film illustrating the conflict between the king and nobles; its title is indistinct and is not reconstructed as an authoritative source.

The lecture connects the document with two modern formulations:

- **no imprisonment without a trial**;
- **no taxation without representation**.

These are the lecturer's introductory descriptions of limits on power, not a verbatim reconstruction of the medieval clauses or a claim that every present-day application existed in the same form then.

The document's significance must be qualified. It was issued, withdrawn and reissued; it was **not a constitution like a contemporary constitution**. When it speaks of people, the historically relevant beneficiaries should not automatically be imagined as the whole population of peasants. The lecture is explaining the bargaining position of nobles. A reference to papal involvement and a cleric is indistinct; that name and the proposed causal detail remain unresolved in the audio.

The broader consequence is that the crown did not occupy every available position of power. Other institutions could fill the space. The lecturer describes courts connected with nobles and with the church as additional centres of authority, alongside courts associated with the king. A targeted retry recovered this point from a passage in which the first recognition attempt had generated a spurious "great-great" sequence. The later English revolution and the king's execution are presented as another stage limiting the central model, contrasted with the continuity the lecturer sees in French state authority.

2.13 Common law: oral evidence, courts and binding precedents

The lecturer adds a linguistic illustration to the previous comparison between *Stato* and "state": English capitalises **I**, while Italian does not capitalise *io* merely because it is a personal pronoun. He presents the juxtaposition as an interesting indication of different mentalities, while explicitly declining to infer every feature of a system from spelling alone.

In the initial common-law picture, public authority does not produce and supervise every arrangement through the same centralised written framework. The lecturer therefore emphasises:

- fewer formalities in the comparison;
- greater importance of **oral evidence**;
- the role of **juries**;
- the development of rules through **court decisions and precedents**.

He immediately qualifies the phrase "no written law": there are of course enacted laws in the UK, Canada, India and other common-law jurisdictions. The intended difference is in **relative emphasis and legal development**, not the literal absence of legislation.

American courtroom films illustrate the importance of juries, especially in the criminal-law examples the lecturer uses for culture rather than for the business-law syllabus itself. The idea of being judged by a jury of one's **peers** is connected with limitations on authority. Continental systems can have lay participation too, but the lecturer contrasts its more limited place in the comparison. No complete account of each country's criminal procedure is supplied here.

2.13.1 The judge as an interpreter or as a participant in developing the system

The lecturer's **ideal continental court** applies the state's law honestly, without corruption or an independent ideological agenda. Its self-image is that of an interpreter or custodian of the existing legal order.

The **common-law court** can also decide matters for which no enacted rule fully supplies the answer. Principles are then derived from decisions; some decisions become **binding precedents** for later cases. In that sense, courts participate in developing the legal framework rather than only applying an already complete written code. This is the introductory comparison; the lecture has not yet specified the precise court hierarchy or every condition for distinguishing a precedent.

The different role of courts is connected with the different role of notaries. A US institution called a **notary** does not necessarily perform the same function as a continental civil-law notary. The same English label must not be assumed to identify the same public role in authenticating and shaping transactions.

There are advantages and disadvantages on each side. A theoretical advantage of written law is the possibility of knowing the rule **in advance**. A difficulty of decision-based development is that a principle can become clear only **after a case is decided**. However, numerous or disorderly written laws can also be hard to predict and navigate. The lecturer explicitly rejects selecting a universally superior family: both try to organise activity well, and the course is explaining why they differ.

2.14 A more realistic comparison: both courts and legislation matter

A cultural digression connects the lecturer's historical reasoning with Asimov's *Foundation*. The fictional idea is that understanding historical forces and their interactions can make some future developments intelligible. The lecturer compares this with the possibility of recognising logical turning points in legal development. He does not present the fictional prediction mechanism as a scientific result about actual legal systems, and contrasts it humorously with economists' ability to explain what happened yesterday.

The earlier black-and-white distinction must now be softened. Both families developed in Europe, close to one another geographically, and their actual legal activity cannot be reduced to a complete opposition.

2.14.1 Civil-law courts make abstract provisions concrete

In a civil-law system, reading legislation alone is insufficient to understand how rules operate. The legislature supplies **general and abstract provisions**; courts apply them to particular facts. The lecturer uses a philosophical contrast between an idea and its concrete instances—the general idea of a young person and the different people in the classroom—to illustrate this relationship.

Sometimes a legislature deliberately uses a **general expression** and leaves its practical content to decisions. The example is dismissal for **just cause**. The expression indicates a limit on arbitrariness but does not, by itself, list the answer to every possible workplace situation. A dislike of a person's branded shirt is used as an obviously arbitrary example; difficult cases require looking at decisions.

The lecturer gives two distinct anecdotes to show the importance of interpretation:

- **Airport luggage:** employees were filmed opening passengers' suitcases and passing items to an accomplice beyond a fence. The lecturer recounts a dispute in which dismissal for just cause was nevertheless not accepted. The precise judgement, facts and procedural reason are not identified, so the anecdote is preserved as his classroom illustration rather than turned into a general rule that theft cannot justify dismissal.
- **The baker and the shop employee:** a baker who rises very early and later sleeps discovers an affair involving his wife and another person working in the shop. The lecturer recounts a decision treating the matter as personal rather than sufficiently related to employment, and expresses his own concern about the role of trust in the working relationship. Again, the example illustrates how a decision may differ from an observer's intuition; it does not supply a complete holding applicable to every similar case.

Judicial interpretation therefore has advantages and difficulties even in a codified system. A deliberately open expression such as just cause leaves especially large room for interpretation. In other areas, legislation is more specific and the continental court's task is framed more closely as applying an existing rule.

2.14.2 Common-law systems also enact legislation

Conversely, common-law societies are not without written rules. The lecturer gives the **UK Companies Act 2006** as an important example for this course. It is legislation concerning companies; the year identifies the Act, not a claim that nothing has been amended since 2006. An earlier company-law statute from the 1980s is mentioned in the comparison.

The example also opens a question about the UK's former EU membership. The lecturer contrasts the position when the Act was enacted in 2006 with the later departure from the Union, and discusses political rhetoric about avoiding Brussels bureaucracy. The argument will connect this with the extent of legal convergence and the rules still useful for doing business; it is not a complete account of post-Brexit amendments.

2.15 Constitutions, mixed systems and the limits of the two-family picture

Asking whether the British constitution is "good or bad" is used as a trick question about what "constitution" means. The lecturer first says the UK has no constitution, then supplies the necessary qualification: it has no **single written constitution in the continental sense**. Constitutional principles and protections are found across historical documents, cases and other sources. The absence of one consolidated constitutional document does not mean that rights and duties are wholly uncertain.

The United States, by contrast, has a written constitution while belonging to the broader common-law tradition. The lecturer's historical example is the **right to bear arms**, connected with asserting independence from British military power and the concept of a **militia**. A militia in the explanation consists of ordinary people who can be called on in danger, unlike an already established colonial army. The historical account is used to make the origin of an institution intelligible; it does not analyse contemporary constitutional litigation or the scope of modern gun regulation.

The two traditions also meet in **mixed or influenced arrangements**. Canada is discussed through Quebec's French-language tradition and the English-speaking majority. The lecturer does not supply a complete provincial allocation of Canadian law. The **Netherlands** is another example: continental origins coexist with outward-looking commercial influences. He relates Dutch language, maritime activity, perceived precision and adaptability, and a system less rigidly continental in the comparison. Portugal is mentioned as another outward-looking maritime example. These are broad cultural observations, not a technical classification of every institution.

Within the United States, **Louisiana** preserves a particularly visible French historical connection. The lecturer relates its name to the French monarch Louis and mentions New Orleans and the earlier French-speaking presence, while recognising the later melting-pot setting.

The discussion returns to the EU's unusual integration project. The lecturer contrasts it with US formation through conflict with Britain, the destruction and displacement of native populations, and the Civil War between North and South. His "three wars versus no war" comparison concerns the **means of constructing the integration project**, rather than claiming that European history contained no warfare. He regards negotiated European integration as valuable even when the institutional result is complex and imperfect.

2.16 Introducing the European institutional architecture

The final part of the introduction aims to establish what **EU directives and regulations** are before more specialised business-law discussion. The EU is also presented as a place where legal traditions interact and where a different public architecture is being built.

The lecturer returns to public institutions as an answer to people's needs and happiness. He mentions the **American Declaration of Independence of 1776** and links the colonial experience with security of rights, private property and the pursuit of happiness. The property discussion is his historical framing; it is not reproduced as a verified quotation of every right in the Declaration. Similarly, his remark about the Crown and land is not developed into a complete account of English property law.

The EU treaties and institutional architecture are described as the closest existing framework to a European constitution, while **not being a constitution in the same sense as a national constitutional document**. The lecture refers to the **Treaties of Rome**; the founding-date recognition in the automatic transcript is unreliable. The intended conventional reference is the 1957 treaties, not the ASR rendering "1937".

The lecturer also introduces the later proposed constitutional treaty negotiated in **2004**, described as a second Rome treaty. Signing by governments is distinguished from **ratification**: the government's signature is not enough to make every required national approval occur. France is introduced as a central example in the following explanation.

2.17 Regulations and directives: binding rules with different methods

The lecture explains that the French referendum on the proposed constitutional treaty failed and the treaty did not enter into force. This is a statement about that **constitutional treaty project**; it does not mean that the EU lacks institutions or binding legal acts. The existing framework includes treaties, directives and regulations even though the terminology of a national constitution and national "laws" does not map perfectly onto it.

Aspect	Regulation	Directive
Introductory function	Supplies rules directly applicable across the Union within their scope	Specifies a binding result or common goal
National implementation in this comparison	The same EU rule operates directly	States use national methods to achieve the required result
Binding character	Binding rule	Binding objective; not merely a suggestion
Reason for the distinction	Uniform treatment where the same arrangement is suitable	Convergence while accommodating different starting arrangements

The lecturer describes a regulation as applying directly throughout the Union, using Malta, Portugal, Ireland and northern Europe to illustrate geographical breadth. A directive instead fixes a **mandatory goal**, while leaving room for national methods to reach it. Students are explicitly warned against calling a directive an optional recommendation.

The **Piazza Castello example** makes the distinction memorable. The group must arrive at the same place, on the same date and at the same time. One participant cycles, another arrives in a chauffeured car, and another walks or uses a different route. Travel method and departure time can differ, but meeting the destination requirement is **not optional**. This is the lecturer's analogy for the directive's common binding result and different ways of implementing it.

Why have two kinds of instrument? Existing national arrangements are not identical, so requiring immediate uniformity in every detail may be unsuitable. The lecture's **motorway-sign example** contrasts Italian green motorway signs with the French blue motorway signs and the different use of the other colour. The important starting difference is not that one state has signs and the other does not: they use comparable colours for different road categories.

An illustrative common **safety objective** could require signs to remain visible under vehicle headlights at night while leaving room for a country's existing colour arrangement. The lecture is showing why a directive can be a sensible design choice, not claiming to identify an actual numbered directive about those signs.

Further practical differences are mentioned through an electric-shaver or plug example and the opposite side of driving in Cyprus. The exact electrical-device anecdote is indistinct. The common point is that the Union must work with materially different starting practices, not simply replace them all with identical details by using a regulation for every issue. The lecturer interprets the resulting complexity as an answer to needs rather than necessarily evidence of bureaucratic weakness.

2.18 The Court of Justice and the combination of legal traditions

The **European Court of Justice (ECJ)** adds another element to the architecture. The lecturer emphasises that the institution was created in the early framework of the six founding members, before the UK joined. He describes the Court as developing an authoritative line of decisions to promote integration and fill gaps in the practical legal framework.

The functional comparison is with **precedents**: a principle adopted in a decision supplies a basis for later treatment of the same issue. The lecturer attributes this development partly to the Court's own approach rather than suggesting every practical consequence was exhaustively written into the original treaties. The discussion is an institutional comparison, not a complete statement that every procedural feature of English precedent applies identically to EU judgments.

The EU therefore combines **written legal instruments** with a **powerful role for judicial interpretation**. This makes it a useful setting in which to understand why the civil-law/common-law distinction cannot remain an absolute opposition. Different institutional methods can serve the same integration need.

The lecturer says the Union is not a federation in the full model being discussed. Even the proposed constitutional treaty would not, by its label alone, have made the Union into the same structure as a federal state. The history of the UK's membership is used as a further reminder that positions change: it was not a founding member, applied to join, initially faced French opposition, later joined and eventually left. The specific blocking figure and chronological wording are indistinct in the recording and are not completed as a detailed accession history.

2.19 Commission, Parliament and Council: who decides?

The lecture ends with an introduction to the legislative process that will be continued in the next class. The process is complex because it combines different sources of political representation and authority.

The Italian comparison concerns two parliamentary chambers and the need for the same legislative text to be approved in both. The lecturer relates different electoral arrangements and potentially different majorities to a counterbalance against concentrated governmental power. This is the classroom comparison, not a survey proving that no other country has comparable bicameral features.

The EU model introduces three principal participants:

Institution	Position emphasised in the lecture	Legislative role in the introductory model
European Commission	Represents the Union's perspective	Makes proposals
European Parliament	Elected representatives acting as European legislators	Participates in decisions and can amend proposed legislation
Council of the European Union	National ministers representing their states	Participates in decisions and can amend proposed legislation

The **Council of the European Union** is composed of **national ministers**. Its composition depends on the subject: environmental matters involve the relevant environmental ministers, economic matters the relevant economic ministers, and so on. It is an EU institution, but the perspective emphasised here is the representation of **national interests**.

The Commission's proposals are not automatically the final law. The lecturer stresses that the Council and Parliament can change them substantially. In the legislative model introduced, decision-making cannot be attributed to an isolated group of Commission officials acting without member-state participation. The detailed procedures and their exceptions are postponed to the next lecture.

This is why criticism of "the people in Brussels" can obscure national responsibility. The ministers participating in the Council are the states' own ministers. States retain power through the Council and are not generally willing to replace that structure with a wholly federal two-chamber legislature. The lecturer describes reluctance to relinquish national influence as a reason the Union is not as federal or swift as some observers would like.

The Parliament's European role and the Council's national role are distinct even where both participants originate from the same country. A voter elects an Italian member of the European Parliament, but that member participates in the European legislature; an Italian minister in the Council represents the national governmental position. The lecture's main message is to identify the sources of political choice before treating all institutional complexity as the Commission's unilateral decision.

Next class and source limitations

The lecturer announces **no lecture on Friday 9 October 2026**. The institutional introduction will continue before the course moves to the more technical discussion of partnerships and companies.

Remaining uncertainties concern the monetary-history dates and wording, certain historical or family names, the relocation anecdote, the precise details of the employment-case anecdotes, and the electrical-device example. They are retained or flagged in their relevant sections. The anomalous repetition in the English-history discussion was reprocessed. The unavailable slides can later clarify details; no material from the previous professor's programme has been substituted for them.

3 Legal institutions in context: evidence, codification and European integration

3.1 Selection of public professionals and separation of powers

The lecture resumes the comparison between civil law and common law with the selection of judges, notaries and diplomats. In the lecturer's account, competitive state examinations are a shared feature of these three professions, whereas qualification as a lawyer follows a different route. He suggests a historical connection between examination-based recruitment and Chinese administrative traditions, while explicitly presenting that origin as something he knows only approximately. It should therefore be read as his historical observation, rather than as a independently verified genealogy of the modern examination system.

The institutional comparison is not a ranking of a good system against a bad one. Both legal families have advantages, disadvantages and imperfections. The way judges are selected also expresses a particular understanding of the separation of powers. A system in which politicians participate in judicial selection may operate within its own safeguards and traditions; importing the same selection method into a different environment does not automatically import those safeguards.

This is the broader lesson about *legal transplants*: a rule must be understood together with the institutions, enforcement mechanisms and social expectations that make it work. The lecturer uses the very long prison sentences sometimes reported after financial frauds in Anglo-American jurisdictions, illustratively "127 years", to contrast different enforcement settings. He connects reliance on oral evidence and personal declarations with both legal sanctions and reputational exclusion from the business community. His discussion of Puritan or Protestant traditions is a contextual explanation offered in class, not an assertion that every participant in one legal family behaves in the same way.

Written documents, certification and notarial intervention perform a corresponding trust-building role in the Italian examples. The point is not that one should imitate every American practice because it seems efficient, or defend every domestic practice because it is familiar. One must ask which surrounding mechanisms support the practice and what would change if it were transplanted.

3.2 The authority to sign: business-register evidence and affidavits

Consider a manager who appears before another party to sign a contract. Two distinct questions arise: is this person really the manager, and does the person have the authority to enter this particular transaction? The lecturer's Italian example answers the second question by consulting the business register. A downloadable certificate, described as costing approximately EUR 4–7, can identify the manager and specify the scope or monetary limits of the manager's powers. If the certificate gives authority up to EUR 1 million, a EUR 500,000 contract falls within that illustrated limit.

The evidential value of the register depends on the reliability of its inputs. The lecturer describes notaries and other gate-keepers as checking information before it enters the register. Verified inputs make it possible to rely on the corresponding outputs. A database that merely accepts unverified declarations would not acquire the same evidential force just because it is called a business register.

The contrasting American example comes from a practitioner the lecturer met while studying at Fordham in New York. In that account, the relevant register did not provide the same proof of a manager's powers. Instead, the person supplied an *affidavit*: a sworn declaration that the person is the manager and has authority to sign. The lecturer treats fraud sanctions and business reputation as part of the background supporting such reliance. This is his comparative account of a particular setting; it should not be generalized into a claim that every American register has the same legal effect for every purpose.

The same practical problem appears when an American or Australian parent company wants to create an Italian subsidiary or branch. The Italian professional must establish that the representative has authority to take that step. In the lecturer's experience, the foreign representative's sworn declaration may be central to the documentation. What one legal culture regards as a necessary verification can look like unnecessary bureaucracy to another; what one culture regards as sufficient assurance can look surprisingly weak to the other.

3.3 A familiar word can describe a different institution

The term *notary* does not denote identical functions across legal systems. The lecturer recalls a New York shop selling clothes that also advertised notarial services. The person could hold a renewable commission, check identification and attest a signature or appearance, rather than perform the substantive examination expected of an Italian notary. The example is intended to distinguish functions, not to disparage the individual or the institution.

A second anecdote concerns documents for an American fruit company establishing an Italian company. The lecturer sent an American notary a draft containing his own highlighted name as a placeholder and expected the document to be adapted. It returned stamped with the placeholder still present. The stamp indicated a limited certification rather than an examination of the document's substantive legal content. The important lesson is to specify what a certification proves: identity or signature, the truth of a declaration, the signer's authority, and the legal validity of the act are different questions. A seal alone does not answer all of them. The lecturer's personal name is not reliably recognized in this passage and is not reconstructed from the ASR spelling.

3.4 Civil codes and the diffusion of legal models

The French *Code Napoléon* of 1804 is presented as an influential and manageable model of codification. The lecturer also mentions an earlier Austrian imperial code, describing it as substantially longer and less influential as a practical model. His approximate comparison is about 3,000 articles for the Italian code versus an estimated 15,000–20,000 for the Austrian example; the estimate is a classroom recollection and not a verified article count.

The German civil code, which the lecturer dates to entry into force on 1 January 1900, provides another major model. The present Italian code is described as a later, original combination of French and German influences, arising in the middle of the twentieth century. Borrowing from earlier models does not exclude developing a distinctive system.

The lecturer then challenges the inference that American geopolitical success after the Cold War must imply the universal triumph of common law. He points instead to civil-law choices in post-communist European states and to China's civil code and notarial institutions, while acknowledging substantial differences and his limited expertise about China. The automatic transcript's geographical wording in the post-communist example is imprecise; the conceptual comparison concerns legal-model diffusion, not a verified list of countries. Chinese notaries may have an employment or remuneration structure different from the Italian one, reinforcing the need to distinguish the common label from the institution's precise operation.

3.5 The European Union combines different institutional logics

The lecturer interprets the architecture established around the 1957 founding treaties as a compromise incorporating elements associated with both legal traditions. Written regulations and directives provide a legislative framework, but the institutional arrangement cannot simply copy a national parliament. Member states transfer powers while also insisting on safeguards for their own interests.

He revisits the attempt to adopt a treaty establishing a European constitution, signed in Rome roughly twenty years before the lecture. In his account, the proposed terminology would have included a European constitution and European laws, but the ratification process failed after referendums, including France and the Netherlands. The distinction between *signature* by governments and *ratification* through the constitutionally required national process is essential: signature alone does not ensure that a treaty enters into force. In a democracy, a referendum may form part of that process.

The "Polish plumber" story illustrates the political fears surrounding competition in services and internal labour mobility. The lecturer connects it with debate about the services directive, using the illustrative contrast of a domestic EUR 70 service call and a EUR 10 foreign service. These are explanatory numbers, not measured market prices. His point is that voters may respond to practical fears about employment and competition rather than the institutional wording of a treaty.

3.6 Regulations, directives and practical diversity

A regulation is used to illustrate a rule applying in the same way across the Union; the lecturer names Tallinn, Malta, Cyprus, Dublin and Porto to stress the geographical reach. A directive binds the intended result while leaving national implementation choices. This revisits the previous lecture's distinction rather than replacing it.

Electrical plugs and motorway signs are concrete illustrations of established national differences. Italian motorway signs are described as green and ordinary-road signs as blue, with the colours reversed in the French example. The lecturer uses these examples to explain why harmonization can require national adaptation and why a Union is not automatically a federation. They are teaching analogies, not a claim that each mentioned technical matter is necessarily regulated by a directive.

3.7 Unanimity, common interests and the budget

The lecturer uses foreign policy to show the tension between a common voice and national veto powers. Governments can agree that acting together would strengthen their position while refusing to accept a majority decision contrary to their own interests. Unanimity preserves each state's veto but limits collective action. The existence of this arrangement reflects negotiation and retained national powers rather than an inability to recognize the efficiency cost.

He adds an explicitly personal political-economic interpretation: a genuinely common policy is difficult without a substantial common budget and redistribution. If resources remain national while common decisions distribute benefits unevenly, each government has an incentive to protect its own position. He contrasts this with redistribution within the United States. This is the lecturer's argument about incentives and institutional design, not a statement of an additional legal requirement for every EU policy.

3.8 The European Parliament and representation

The European Parliament is described as expressing a federal element within an entity that is not simply a federation. Representatives are elected nationally but are expected to represent the Union. Their political groups are organized

primarily by political affiliation rather than by nationality: members from France, Germany, Italy and Estonia can sit together in the same political family.

Representation also reflects a compromise between population and protection of smaller political units. The lecturer contrasts Luxembourg with large member states and draws analogies with Valle d'Aosta's representation and the two senators for each US state. The remark that Italy might elect "50" members is an illustrative number in the explanation, not a stated current allocation. Likewise, the reference to a Parliament of more than 700 members is a contextual classroom description, not a checked current membership count.

3.9 The Council of the European Union and the Commission's initiative

The Council of the European Union is composed of national ministers, with the minister attending depending on the subject: health, justice or agriculture, for example. It must be distinguished from the other Council mentioned later in the lecture. Ministers belong to national executive branches but participate in EU legislation. The lecturer emphasizes this apparently unusual combination as an intentional compromise: national governments were unwilling to transfer all legislative influence to a supranational parliament.

The Council therefore performs something like a second legislative channel without simply being a Senate elected on a national model. A minister must engage with Union interests but also faces domestic responsibilities. The lecturer's hypothetical wine-quality example illustrates this tension: an Italian minister is likely to defend wine quality because of national economic interests even while presenting the argument in terms of the Union's interest.

The final ingredient introduced in this block is the Commission's prior proposal. The lecturer explains that the two legislative bodies act on a proposal from the European Commission, preparing the following discussion of initiative, adoption and enforcement. References to prominent Commission presidents are observations about the institution's public visibility, not additional elements of the legislative test. The ordinary institutional account here should be read together with any procedure-specific exceptions provided in the course's future slides.

4 EU legislative initiative and the path of integration

4.1 The Commission proposes; the legislative bodies adopt

The Commission is presented as an executive, supranational institution: a comparatively limited counterpart of a national government, because the treaties do not establish a full federal government. The lecturer uses national prime ministers and the Commission president to illustrate the trade-off between common authority and retained state authority. His examples of commissioners for energy, health and foreign affairs concern portfolios and functions; the ASR is unreliable on some personal names and they are not used to identify officeholders in these notes.

In the ordinary legislative architecture described in class, the Commission's proposal initiates the process. The lecturer calls this a filter: the Parliament and Council do not simply initiate and enact any text on a national-parliament model. The phrase "no proposal, no directive or regulation" is a teaching shorthand for the process being discussed, rather than a complete statement about every exceptional EU procedure.

Initiative is different from adoption. The Parliament and Council can amend the proposal; they are not confined to accepting or rejecting the Commission's wording. If institutions disagree, the treaties provide mechanisms for negotiation and conciliation. The Commission participates in efforts to find agreement, but the legislative act is adopted by the legislative bodies. This distinguishes three functions that should not be collapsed:

1. **Initiative:** introducing the legislative proposal.
2. **Negotiation and amendment:** changing and reconciling the proposed text.
3. **Adoption:** giving the agreed act legislative force through the competent bodies and procedure.

Commission members are expected to act for the Union, rather than as delegates defending their home states. The lecturer contrasts a former national minister's domestic role with the different role after becoming a commissioner. Cultural background and personal connections do not vanish, but the institutional responsibility changes.

The resulting comparison is:

Institution	Function emphasized in the lecture	Representative logic
European Parliament	Legislative	Citizens/Union, with political groups across nationalities
Council of the European Union	Co-legislative, through national ministers	Member-state governments
European Commission	Executive and legislative initiative	Union/supranational interest

The lecturer describes this as a hybrid and, alternatively, as an achievement of diplomatic engineering. The complexity records the compromises needed for governments to accept integration.

4.2 Integration by agreement and integration by force

The lecturer contrasts the negotiated European project with violent historical routes to political unification. His examples include the American struggle against Britain, the Civil War's conflict over the federation, and expansion involving indigenous populations; in Europe he invokes Napoleon and Hitler as radically different attempts to impose political unity. These are comparative historical illustrations of the cost and method of integration, not endorsements of those projects. The distinction is between political arrangements built through agreement and those imposed through war or conquest.

He then offers an explicitly personal metaphor: a wagon crossing a river should reach the other bank rather than remain permanently in the current. A provisional institutional compromise may become vulnerable if it stays between a group of independent states and a genuinely integrated political structure. He relates the metaphor to crises, wars and energy supplies. The classroom example contrasts Germany's exposure to Russian gas with Italy's links to Libya, Algeria and the TAP route to Azerbaijan. The transcript misrecognizes one country name in this passage; the explanation concerns the Italian example given by the lecturer. These are his contextual observations about national energy strategies, not a checked contemporary inventory of gas stocks.

4.3 A directive is mandatory, not a suggestion

The freedom to choose implementing means does not make a directive optional. The lecturer's analogy is an appointment in Piazza Castello in one hour. The destination and deadline are fixed; one person may walk, another may take a train or drive. Different means are permitted, but failure to reach the destination by the required time does not comply. A regulation instead provides a more uniform set of operative rules in the account developed here.

Company law does not have a single EU civil or commercial code, yet there is a common body of rules. The French expression *acquis communautaire* denotes what has been achieved and accumulated within the Union's legal framework. A state seeking accession must bring its law into conformity with the relevant acquis. The lecturer uses Ukraine as an illustrative candidate and notes that company-law directives are one part of a much wider framework, which also covers other policy fields.

The historical numbering of company-law directives should not be read as a tidy series of all operative rules from 1 to 10. Some numbered proposals were negotiated but never adopted. A proposal can occupy a familiar number in discussions without ever becoming an act in force. This provides a practical application of the initiative/adoption distinction: the Commission can make a proposal, but negotiations may fail.

4.4 Reform proposals and enhanced cooperation

The lecturer refers to the Draghi and Letta reports as attempts to identify a future path for European integration. His assessment is that a treaty transferring substantially more powers to the Union would face major political resistance, including demands to retain national vetoes. He distinguishes political scepticism about a new treaty from the possibility of using the powers already available in existing treaties more fully.

He introduces *cooperazione rafforzata*, whose established English term is *enhanced cooperation*. It allows a group of member states to advance within the treaty framework in eligible fields while leaving participation open to others. It is not available indiscriminately in every field, and it is not simply a permission for any small group to bypass treaty procedures.

Verified clarification of the numerical example. The recording gives "six or seven" as an approximate illustration, not a reliable legal threshold. Article 20 TEU requires at least **nine** participating member states for authorization of enhanced cooperation, together with the other conditions laid down in the treaties. This correction is explicit and does not alter the retained transcript.[1]

The euro and Schengen are mentioned as familiar examples of differentiated participation: belonging to the Union need not mean participating in every arrangement on identical terms. These analogies do not establish that their entire legal histories are examples of the Article 20 procedure. The lecturer recounts a visit to Cyprus, describing it as an EU member with the euro but, in his account at the time of the lecture, outside Schengen. The travel and cost observations illustrate his argument; they are not independent travel advice or a current status update.

He identifies a political objection to differentiated integration: it can look like a divided Europe. The counterargument is that some participating states can take decisions even when all states cannot agree. Whether governments will use this possibility more extensively is presented as a political question, not a prediction these notes certify.

4.5 The proposed twenty-eighth company-law regime

The lecture turns to a proposal for a substantially digital private limited company framework. The lecturer calls it a possible *twenty-eighth regime*: an additional company-law option alongside the national forms in the 27 member states. National forms such as the Italian S.r.l., German GmbH, French private limited company and Spanish sociedad limitada would remain; the additional common framework would be chosen where available.

[1] Official treaty text: Article 20 TEU, EUR-Lex.

The recording presents this as a proposal, repeatedly conditioned on future approval. These notes do not turn it into legislation already in force. The lecturer's references to both a directive proposal and a common form governed by a regulation describe the idea in discussion; without the corresponding slide or identified proposal, the precise legislative instrument is not certified here.

He contrasts company-law fragmentation in Europe with the United States, where incorporation law is predominantly state-based. Delaware is his example of a jurisdiction attracting listed companies; his approximate "50%" figure is retained as a classroom statement rather than a measured current statistic. A federation does not therefore imply that every aspect of company law is federal.

The proposed common regime concerns **company law**, not the unification of all law affecting a business. Even if internal corporate rules became common, taxation, employment law and administrative law could still differ nationally. The lecturer's concrete company-law examples are how the general meeting works and how managers may be sued. The same substantive framework might be applied before courts in France, Germany and Italy while those courts remain national institutions.

He also questions the claim that startups are necessarily the principal beneficiaries. In his experience, an early startup's priority is survival and product development; somewhat larger businesses already planning to sell across the common market might benefit more directly from a uniform legal form. This is his practical assessment, not a rule excluding startups from any future framework.

4.6 Economics first or politics first?

The integration strategy itself was a choice. Pooling coal and steel addressed resources closely connected to conflict between France and Germany. The lecturer then describes the move towards broader integration of goods and services. He names Italian contributors Einaudi, De Gasperi and Spinelli, alongside Adenauer and Schuman, to emphasize support from different political traditions rather than one party alone.

Two possible sequences emerge. One can integrate the political structure first, with common institutions and a budget, and expect economic integration to follow; or integrate economies first and expect political integration to become necessary and feasible afterwards. The first may appear conceptually cleaner, but political agreement is difficult. The lecturer returns to the budget example: a common fiscal framework can make cross-border changes, such as a French firm buying an Italian one, easier to accept politically because benefits and costs are not confined to isolated national budgets.

The defence-community project shows that political integration was attempted, not merely imagined. The lecturer explains integrated military commands by analogy with NATO, where a commander from one participating state can oversee forces from another. Defence coordination also implies coordination of foreign policy and, more sensitively, intelligence services, because military action depends on information. These connections help explain why agreement is difficult.

Verified chronological clarification. The European Defence Community treaty was signed on 27 May 1952; the French National Assembly's refusal to ratify it in August 1954 prevented its entry into force. It therefore predates the 1957 Rome Treaties rather than constituting a second treaty signed with them. The recording's compressed chronology is clarified here without silently rewriting the transcript.[2]

The lecturer explicitly prefers the terminology of defence to the language of a ministry "for war". That political judgement accompanies, rather than replaces, the institutional point: a treaty signed by governments can fail at ratification, and the failure of one route to political integration helps explain continued reliance on economic integration.

5 Enforcement, preliminary references and the Centros case

5.1 The functional method: economic integration as a means

The *functional method* uses economic integration as a means towards political integration, rather than treating integration of markets as the only ultimate purpose. The lecturer's examples include an airline acquisition involving Lufthansa and ITA Airways, Italian mechanical suppliers serving German industry, possible cross-border banking transactions involving UniCredit and Commerzbank, and French ownership of Italian banking businesses. These references illustrate the argument in the recording; proposed transactions are not certified here as completed acquisitions.

If production, supply chains and ownership interests cross borders, conflict can become more costly and cooperation more attractive. Conversely, economies that regard each other only as competitors may have fewer shared interests restraining political conflict. The lecturer links this reasoning to pre-war Europe and the attempt to make further conflict less likely through interdependence. He also notes a perceived asymmetry in public reactions: foreign purchases of Italian businesses can be treated as ordinary integration while an Italian purchase abroad attracts resistance. The claim concerns political reactions, not a legal entitlement to complete any particular acquisition.

The Letta and Draghi reports and the possible twenty-eighth private-company regime are presented as contemporary applications of the same method: move further within existing institutional possibilities. The lecturer distinguishes private

[2] Council of the EU, *The European Council and the Council of the EU through time*, historical account of the defence and political community proposals.

limited companies from public companies or listed corporations in describing the regime under discussion. The proposed private-company framework should not be treated as if it automatically supplied one common regime for every corporate form.

5.2 Implementation and consolidation of company-law directives

To *implement* a directive means to adopt the required national measures within its deadline, addressing the matters left to national choices. The example is a directive allowing member states one year to implement it. Choosing the means does not excuse late implementation. An Italian implementing act gives operative domestic form to the relevant requirements.

The company-law framework has also undergone consolidation. Separate directives can be brought together into a single text, rather than forcing the reader to consult many independent instruments. The lecturer illustrates this with provisions for internal mergers and cross-border mergers appearing in different parts of a consolidated framework. Consolidation is distinct from saying that the Union already has one general company-law code governing every aspect of business.

MiFID II is mentioned as a directive the course will study. It concerns investment services and markets rather than the company-law core of the introductory discussion. Its inclusion shows why knowing the EU instruments and their implementation process matters beyond incorporation rules.

5.3 Two European courts that must not be confused

Court	Institutional setting emphasized in class	Location
Court of Justice of the European Union	European Union; interpretation and enforcement of EU law	Luxembourg
European Court of Human Rights	Council of Europe; human-rights convention system	Strasbourg

The *Council of Europe* is not the Council of the European Union. The similar names describe different institutions and different organizations. The lecturer mentions countries outside the EU in discussing the wider human-rights system; his historical reference to Russia is explicitly qualified by uncertainty about changes associated with the war and is not converted here into a current membership statement.

The Italian example is the excessive duration of proceedings. A state can face a human-rights finding concerning an unreasonable trial duration even where the dispute itself is an ordinary domestic case. The lecturer contrasts this with other human-rights examples, such as torture or disappearances, to show the breadth of the subject. The lesson is to identify the correct court, legal framework and issue, not to treat every "European" court as one body.

5.4 A supranational rule needs an enforcement mechanism

The lecturer presents the Court of Justice as a central safeguard of the Union's legal framework. A treaty saying that common rules prevail would be less effective if there were no institution able to enforce those rules when national authorities act inconsistently with them. He compares the gatekeeper role loosely with the Italian Constitutional Court, while not claiming that their jurisdictions are identical.

Judicial decisions also shape the operation of the common rules. This is the aspect he associates with common-law reasoning: a case can become an important reference for future decisions and for the evolution of the system. The *Centros* decision will be the business-law example through which the course studies that effect.

The lecture briefly compares the EU with other international enforcement arrangements and discusses controversies surrounding international criminal proceedings. The automatic transcript uses an unreliable court name in that aside. It should not be read as identifying an institution called an "International Court of Human Rights", nor as a verified account of which states participate in a particular international court. The substantive comparative point is the lecturer's view that EU judicial enforcement remains unusually strong in relation to its member states. His wider geopolitical comments remain classroom opinion and context.

5.5 What a preliminary reference does

Suppose an Italian case is litigated through first instance, appeal and the Court of Cassation. If a difficulty of EU-law interpretation is discovered only after a final national decision, the entire course of the proceedings may have rested on a mistaken understanding of the applicable common rules. A preliminary reference permits the relevant EU-law issue to be clarified during the national proceedings.

The national court refers the question to the Court of Justice; after the ruling, the national proceedings continue with that clarification. The lecturer explains that courts can, and in certain circumstances must, refer questions. The mechanism sup-

ports consistency across member states instead of allowing every national system to develop incompatible interpretations independently.

Verified scope clarification. Article 267 TFEU gives the Court jurisdiction to rule on the interpretation of the treaties and the validity and interpretation of acts of EU institutions, bodies, offices or agencies. The Court's preliminary ruling is not simply a national appeal or a general decision directly invalidating a domestic statute. The referring national court applies the EU-law ruling to the dispute. A national court of last instance has the treaty duty to refer when the applicable conditions are met; the full treatment of exceptions is beyond this introductory recording.[3]

The recording's shorthand about applying a directive instead of conflicting national law should therefore be read with the applicable EU-law conditions. It is not a universal instruction that any directive automatically replaces any national rule in every dispute. The teaching aim is the ordering of the legal issue: clarify the common rule before making the domestic decision that depends on it.

5.6 Why cases are called by the parties' names

Centros is the name of the company involved, not a technical English term. The lecturer uses *Kramer v. Kramer* to illustrate the practice of naming disputes after their parties. Names make influential decisions recognizable in a system where lawyers remember case law as civil-law lawyers also remember code provisions. The movie reference concerns divorce and custody; the actor's name is not reliably recognized and is not needed to identify the legal analogy.

The lecturer adds a practical observation about surname changes. A person may buy property under an original surname, adopt a spouse's surname under the relevant foreign law, buy further property under that name, and revert to the original surname after divorce. A professional checking property or company records must connect these entries to the same person. The Verdi/Rossi example illustrates why a digital register cannot simply assume that one immutable surname identifies a person in all countries.

5.7 The starting facts of Centros

The case is introduced as a Court of Justice decision from 1999 involving a Danish couple who wanted to establish a private limited company. The lecturer finds the facts especially useful pedagogically because the conflicting intuitions are easy to see. He mentions speculation that the case was engineered to attract incorporations to England but does not endorse it or claim evidence of fabrication.

The couple had heard that Danish incorporation required a *minimum share capital*. They understood that requirement in a particular way that the lecturer identifies as mistaken. Before considering the cross-border issue, the class must separate three concepts: a legal person, limited liability and the company's resources.

5.8 The company as a separate debtor

The lecturer's "box" metaphor describes a company as a legal person distinct from the individuals behind it. The state recognizes the new subject, which has its own name, address, object and identity. Even where one individual is both the only shareholder and the only manager, the company is still a separate debtor in the model being discussed.

Compare Leonardo operating personally with Leonardo operating through a company. In the personal-business example, he controls decisions and receives profits but is also liable for his own business debts. If the business owes 1,000 and has only 100 in business assets, creditors may reach his other assets: the lecturer gives the example of a home worth 900. A personal label attached to "business assets" does not by itself create a separate debtor.

In the company example, the company owes the 1,000 and must devote its own 100 of assets to its debts. Leonardo's status as shareholder and manager does not by itself make him the company or make every company debt his personal debt. This is the basic illustration of limited liability, not a claim that fraud, personal guarantees or other liability grounds can never expose an individual. The legal separateness must be enforced even though the same human being conducts the day-to-day activity.

The lecturer links the historical development of this trust-based arrangement to the revival of public institutions after the year 1000, mentioning Florence, Venice, Pisa, Siena and Asti. Institutions capable of recognizing and enforcing the distinction make the "piece of paper" effective against the intuition that the visible businessperson must always be the debtor.

5.9 Share capital is not money permanently locked in a bank account

Minimum capital can contribute to creditor protection, but it does not follow that the subscribed amount must remain as idle cash in a separate account. Capital is a legal/accounting quantity; company assets can include cash, machinery, inventory or other contributed assets, subject to the applicable rules. Contributions need not always be cash contributions.

[3] Official text: Article 267 TFEU, EUR-Lex.

Even when the company starts with cash, it may use that cash to purchase productive assets. Those assets then replace the cash on the asset side of the balance sheet. A change in asset composition is different from distributing resources back to the shareholder. This distinction is central to the lecturer's correction of the Danish couple's intuition.

The Italian example uses the historical EUR 10,000 incorporation benchmark and acknowledges forms with EUR 1 capital, whose detailed rules will be discussed later. The figures should not be taken as a complete current catalogue of incorporation requirements. The initial balance-sheet example is then simplified to 100 of cash, 0 of other assets and 100 of equity/share capital, preparing the numerical discussion that follows.

6 Capital, branches and the choice of a member state's company law

6.1 A balance-sheet example: resources can change form

Immediately after incorporation, the simplified company has cash of 100, other assets of zero and share capital/equity of 100. The lecturer then uses the EUR 10,000 example: the founders buy computers, software and mobile phones costing the full EUR 10,000 originally contributed. It is incorrect to say they must preserve that EUR 10,000 in a bank and inject another EUR 10,000 before making the purchases.

Simplified position	Immediately after contribution	After purchases at the assumed recorded value
Cash	EUR 10,000	EUR 0
Other company assets	EUR 0	EUR 10,000
Total assets	EUR 10,000	EUR 10,000
Share capital/equity in this simplified example	EUR 10,000	EUR 10,000

This is an illustration assuming no additional liabilities, expenses or changes in valuation. In a real balance sheet, the accounting treatment of software and equipment, depreciation, losses and debts matters. The conceptual point survives: spending cash on an asset is not the same as returning capital to a shareholder or making the resources disappear.

An incorporation system without a statutory minimum capital does not permit a real business to produce profits magically from no resources. A founder may still need to finance a business plan, incur initial losses, reach break-even and only then earn profits. The absence of a legal minimum is not the absence of an economic investment requirement.

6.2 Capital requirements and the cost-of-business comparison

The lecturer criticizes treating minimum capital mechanically as if it were a tax paid away from the company, or as an amount permanently immobilized and unusable. In the example, the money is invested in the founder's own company and remains available for its business. He uses this to question efficiency comparisons that automatically equate a higher statutory capital requirement with a higher pure incorporation cost. His comments about World Bank reports concern the interpretation he finds in such comparisons; no particular report or quantitative efficiency ranking is independently identified in the recording.

He does not conclude that a minimum-capital system is universally superior. His recurring position is that both institutional systems can function and that they must be compared without the incorrect "idle bank account" premise. Creditor protection also cannot be guaranteed merely by an initial EUR 10,000 contribution: liabilities and losses can greatly exceed it.

The trust analogy continues. Earlier company forms required a sovereign authorization or royal decree to obtain limited liability. Modern incorporation can be a right subject to legal conditions. The lecturer interprets a capital contribution as one way of requiring founders to commit resources when the state recognizes a protected legal person. He distinguishes EUR 1 from EUR 0 and connects the former with a positive-net-assets idea in the legal-capital model. His contrast with American businesses having negative net assets is an introductory institutional comparison, not a complete statement of solvency duties, capital-loss procedures or insolvency tests in either system.

In the alternative account, creditor actions and bankruptcy enforcement may discipline a failing company rather than a statutory minimum perform the same task. Speed, enforcement and market reaction therefore matter alongside the formal entry requirement. The later company-law chapters must supply the precise rules and exceptions before these simplified comparisons are used to solve a legal problem.

6.3 Incorporation in the United Kingdom, business in Denmark

Centros, Case C-212/97, was decided on 9 March 1999. The official summary confirms the branch-registration issue and reserves member states' ability to combat fraud.[4]

[4]Court of Justice, official summary of *Centros*.

The Danish couple chose incorporation in the United Kingdom to avoid the Danish minimum-capital requirement. The lecturer remarks on the legal, translation and organizational costs of that strategy, contrasting them with a contribution they could have used in their own business. His EUR 10,000 figure is an illustrative translation of a historical Danish-currency requirement; it is not the literal currency amount quoted in the case.

Historical setting matters: the United Kingdom was a member state at the time of the case. The lecture's discussion of establishment freedoms is therefore about that membership setting and is not a statement that the same analysis automatically applies to a post-membership situation.

The company then sought to open a Danish *branch*. Incorporation of a subsidiary creates a new legal person; a branch is an establishment of the existing legal person. The lecturer's analogy is a new person versus an existing person's extended arm: a branch in Denmark does not by itself create a second company separate from the English company. This distinction is indispensable to understanding what the Danish register refused.

The lecture also recalls free movement of people and capital and contrasts it with exporting cash outside the Union. A EUR 10,000 cash-declaration example is used in that explanation. It is not a complete account of declaration or anti-money-laundering obligations, and free movement should not be mistaken for a general exemption from every reporting requirement.

6.4 The claimed abuse and the intuitive response

The Danish business register refused the branch registration on an abuse argument. In the lecturer's deliberately vivid account, the couple had no intended business operations, bank account or business assets in the United Kingdom; the registered office was associated with a friend. They acknowledged wanting the British company law rather than a British market or a British business. Their intended operations were in Denmark.

The useful classroom distinction is between legal incorporation and the geographical location of actual business activity. Calling the company "fake" because it has no operating activity in the incorporation state begs the legal question. The Danish authorities' argument, and many students' first intuition, is that a Danish couple living and trading in Denmark should not be able to choose another state's incorporation law solely to avoid a domestic capital rule. The opposing position relies on the common-market freedom to incorporate under one member state's law and establish a branch in another.

The lecturer says the court accepted the company's position, notwithstanding the absence of operations in the incorporation state. He reports that subsequent cross-border incorporations became numerous, using an approximate "almost one million" figure without an identified statistical source; these notes retain it as his description of the decision's perceived significance, not a verified measurement.

6.5 A comparison involving professional qualifications

The lecturer compares the company-law case with lawyers obtaining a professional qualification in Spain and then seeking to practise in Italy. His historical account describes a route without the same Italian state examination and gives examples of people considering a six-month stay, attendance at around twenty hearings and a commercial package costing approximately EUR 20,000. These are classroom anecdotes about the historical arrangements discussed, not instructions for current qualification or a verified statement that each mentioned step was legally sufficient.

The word *abogado* makes the foreign title recognizable alongside Italian *avvocato*, but similarity of words is not the source of recognition. The issue is the applicable EU framework governing a professional title obtained in another member state. The lecturer contrasts the ordinary mobility examples—a Spanish professional moving to Italy or an Italian who studied abroad and returns—with deliberately choosing the more favourable qualification route and returning shortly afterwards. He calls the latter a kind of "juridical supermarket" to explain why the facts provoked resistance.

The *bar* means the professional lawyers' association, not a social venue. In the lecturer's account, an Italian bar resisted recognition and the applicants litigated through to the Court of Justice. The court's approach is presented as relying on the rights and conditions actually written in the relevant EU rule rather than adding a lengthy foreign-residence condition merely because the facts appear unattractive. The recording's place-name and case-name details are not fully reliable; the precise case identification is given here. The professional-qualification comparison corresponds to the joined *Torresi* cases C-58/13 and C-59/13, decided on 17 July 2014, involving the Bar Council of **Macerata**. The automatic transcript's "Matera" is corrected explicitly here; the original transcript remains unchanged.[5]

Neither example is presented as conduct the lecturer can declare unlawful merely because he finds it surprising. He repeatedly distinguishes disapproval or surprise from the legal result. Where the court recognizes an exercise of a common freedom, the national authority must analyze the claim under that legal framework rather than its intuitive preference for the domestic route.

[5] Court of Justice, official *Torresi* case record.

6.6 What the Centros example changes, and what it does not

The case creates pressure on national incorporation rules: a member state may retain its own capital framework while entrepreneurs use another member state's legally available company form for their operations. This is the lecturer's example of how supranational freedoms can constrain the practical reach of national sovereignty and encourage economic integration.

The result does not mean that a business can choose every favourable law for every subject. The lecturer expressly excludes the inference that choosing company law automatically chooses tax law. Nor does the case establish that fraudulent conduct or every conceivable evasion must be protected. The legal analysis concerns the specific establishment right, the facts and the permissible restrictions.

The lecturer emphasizes the participation of other states and the Commission in the litigation as evidence of its wider importance. A dispute about a Danish branch of an English company could have consequences for many countries' company-law policies. He says other states, including France, were concerned and that the Commission supported the company's position. The exact number of intervening states, approximately "ten" in the recording, is not certified here.

The recording ends by postponing the deeper analysis of the decision and its consequences to the next lecture. These notes therefore preserve the factual introduction and outcome described here without inventing the lecturer's subsequent explanation.